concor
MINING SERVICES

Concor Mining Services (Pty) Ltd

(Registration No 1983/013752/07)

AUDITED ANNUAL FINANCIAL STATEMENTS

for the year ended 28 February 2025

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AFFIRMATION OF ANNUAL FINANCIAL STATEMENTS

In accordance with Section 30(2) and 30(3) of the Companies Act, No. 71 of 2008, as amended, the annual financial statements for Concor Mining Services Proprietary Limited, registration number 1983/013752/07, for the year ended 28 February 2025, have been audited by SNG Grant Thornton Inc., the Company's independent external auditors, whose unqualified audit opinion can be found under the Independent Auditor's Report section, on pages 6 to 8.

The annual financial statements have been prepared internally. This process was supervised by the Group CFO, Unathi Magwentshu (CA(SA)).

APPROVAL OF ANNUAL FINANCIAL STATEMENTS

The annual financial statements were approved by the board of directors in accordance with Section 30(3)(c) of the Companies Act 71 of 2008, as amended, on 31 July 2025 and are signed on its behalf by:

Christoffel Schoeman
Director - Duly Authorised

The directors are required by the Companies Act 71 of 2008 of South Africa to maintain adequate accounting records and are responsible for the content and integrity of the financial statements and related financial information included in this report. It is their responsibility to ensure that the financial statements fairly present the state of affairs of the Company as at the end of the financial year and the results of its operations and cash flows for the period then ended, in conformity with IFRS® Accounting Standards and in a manner required by the Companies Act of South Africa. The external auditors are engaged to express an independent opinion on the financial statements.

The financial statements are prepared in accordance with IFRS Accounting Standard and are based upon appropriate accounting policies consistently applied and supported by reasonable and prudent judgements and estimates.

The directors acknowledge that they are ultimately responsible for the system of internal financial control established by the Company and place considerable importance on maintaining a strong control environment. To enable the directors to meet these responsibilities, the board sets standards for internal control aimed at reducing the risk of error or loss in a cost effective manner. The standards include the proper delegation of responsibilities within a clearly defined framework, effective accounting procedures and adequate segregation of duties to ensure an acceptable level of risk.

These controls are monitored throughout the Company and all employees are required to maintain the highest ethical standards in ensuring the Company's business is conducted in a manner that in all reasonable circumstances is above reproach. The focus of risk management in the Company is on identifying, assessing, managing and monitoring all known forms of risk across the Company. While operating risk cannot be fully eliminated, the Company endeavour to minimise it by ensuring that appropriate infrastructure, controls, systems and ethical behaviours are applied and managed within predetermined procedures and constraints.

The directors are of the opinion, based on the information and explanations given by management that the system of internal control provides reasonable assurance that the financial records may be relied on for the preparation of the annual financial statements. However, any system of internal financial control can provide only reasonable, and not absolute, assurance against material misstatement or loss.

The directors have reviewed the Company’s cash flow forecast for a period of twelve months from the date of this report and, in the light of this review and the current financial position, they are satisfied that the Company has access to adequate resources to continue in operational existence for the foreseeable future.

The external auditors are responsible for independently auditing and reporting on the Company’s financial statements. The financial statements have been audited by the Company’s external auditors and their report is presented on pages 6 to 8.

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The directors have pleasure in presenting their report which forms part of the annual financial statements of the Company for the year ended 28 February 2025.

PRINCIPAL ACTIVITIES AND BUSINESS REVIEW

Concor Mining Services (Pty) Ltd trading as Concor Projects ("the Company") operates in South Africa and its operations are mainly in opencast mining activities.

OPERATING RESULTS

The financial position, results of operations and cash flows of the Company for the year ended 28 February 2025 are set out on pages 9 to 12. A summary of these is provided below:

	2025 R'000	2024 R'000	Movement	% change
Financial performance for the year			11639	
Revenue	**179 666**	246 799	(67 133)	-27%
Gross loss	**(30 337)**	(15 512)	(14 825)	96%
Operating loss	**(66 962)**	(130 607)	63 645	49%
Year-end financial position				
			8 304	
Interest-bearing borrowings	**14 421**	7 222	7 199	100%
Amounts due from contract customers (contract in progress)	**2 385**	8 215	(5 830)	-71%
Amounts due to contract customers (excess billing)	**834**	-	834	0%
Cash and cash equivalents	**1 184**	762	422	55%

The Company's order book as at 28 February 2025 amount to R166 m (2024: R379 m).

The operating loss for the current financial year worsened when compared to the prior year. This is due to an allowance for expected credit losses on a receivable from Waterberg Mining (Pty) Ltd of R6.6 m, refer to note 19.4 and impairment of assets of R16.6 m, refer to note 10.

GOING CONCERN ASSUMPTION

In determining the appropriate basis of preparation of the financial statements, the directors are required to consider whether the company can continue in operational existence for the foreseeable future. In order to ensure the future sustainability, management has prepared a revised budget, revenue and cash flow forecasts covering a minimum of 12 months post financial statement approval date. The Company has secured an order book of R166 m (2024: R379 m) with an embedded margin of 10.0% (FY24: 10.4%)

During the 2025 financial year, the Company reported a loss after tax of R70.08 m, compared to the prior year (2024: R132.3 m). This improvement in the loss was driven lower expected credit loss allowances on intercompany receivables for Waterberg (Pty) Ltd being R6.6 m in the current period and R97 m in the prior period. Other once off items included in the loss is impairments on assets of R16.6 m. The Company's total liabilities exceed total assets by R217 m (2024: R148 m) and current liabilities exceed current assets by R23 m, compared to 2024 when current assets exceeded current liabilities by R5 m. The Company's operations are capital intensive and there is a substantial balance of the borrowings being payable within the next 12 months from the reporting date. As a result, the liquidity has been adversely affected. Strict daily cash management processes remain critical within the Company and management is continuing with its efforts to improve working capital.

The Company believes it remains commercially solvent and therefore continues to adopt the going concern basis in preparing the financial statements. However, material uncertainties still remain that may cast doubt on the entity's ability to continue as a going concern in the short term given the net liability position. The Group is continuing with its efforts to improve liquidity and has instituted a liquidity optimisation committee that focusses on the conservation, generation and liberation of cash and ensuring that debt is serviced as it becomes due. The Company is also expecting the successful implementation of the restructuring plan in relation to the Concor Holdings (Pty) Ltd balance sheet and the group operations which will resolve material uncertainty. Based on the events and conditions described above, management is of the opinion that the Company will continue as a going concern for the foreseeable future.

MATERIAL SIGNIFICANT MATTERS

The directors wish to bring the attention of the users to the following matters:

DIVIDENDS

No dividends have been declared in the current and prior financial year.

SHARE CAPITAL

No issue of shares took place during the current financial year (2024: Nil). Details of the Company's authorised and issued share capital are set out in note 16 to the financial statements.

CONSOLIDATED FINANCIAL STATEMENTS

The Company has elected not to prepare consolidated financial statements. The accounts as prepared are separate financial statements and the exemption from consolidation, in accordance with IFRS 10 Consolidated Financial Statements, has been used. The separate financial statements have been prepared in accordance with the requirements of IAS 27 Consolidated and Separate Financial Statements. Note 25 sets out the particulars of the consolidating parent.

AUDITORS

SNG Grant Thornton's has been reappointed as the group's auditors.

DIRECTORATE

The following are active directors as at date of approval of the annual financial statements:

CFJ Schoeman (Appointed 30 June 2020)

For directors emoluments details, refer to note 28 of the financial statements.

SUBSEQUENT EVENTS

The Moatize project was terminated after year-end.

There have been no other material events requiring disclosure in the annual financial statements subsequent to 28 February 2025.

INDEPENDENT AUDIT OPINION REPORT

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1 of 3 pages

INDEPENDENT AUDIT OPINION REPORT
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2 of 3 pages

INDEPENDENT AUDIT OPINION REPORT
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3 of 3 pages

	Notes	2025 R'000	2024 R'000
Revenue		**179 666**	**246 799**
Revenue from contracts with customers	4	102 575	153 815
Operating lease income	4.4	77 090	92 984
Cost of services provided		(210 002)	(262 311)
Gross loss		**(30 337)**	**(15 512)**
Other income	5	4 978	9 620
Distribution costs		(579)	(486)
Marketing costs		-	(10)
Administration expenses		(20 325)	(17 645)
Allowances for expected credit losses		(20 699)	(105 462)
Other operating expenses		-	(1 112)
Operating (loss)	6	**(66 962)**	**(130 607)**
Finance income	7	156	146
Finance costs	8	(1 997)	(1 802)
(Loss) before taxation		**(68 803)**	**(132 263)**
Taxation	9	(1 278)	-
(Loss) after taxation		**(70 081)**	**(132 263)**
Other comprehensive income		-	-
Total comprehensive (loss) for the year		**(70 081)**	**(132 263)**

	Notes	2025 R'000	2024 R'000
ASSETS			
Non-current assets		**116 785**	**146 829**
Property, plant and equipment	10	116 785	146 829
Intangible assets	11	-	-
Deferred taxation	11	-	-
Current assets		**98 529**	**110 422**
Inventories	12	252	787
Amount due from contract customers	13.1	2 385	8 215
Contract and retention receivables	14.1	7 186	27 472
Trade and other receivables	14.2	20 006	12 496
Amount due by group companies:			
- fellow subsidiary and group associate	19.4	65 587	60 690
- parent company	19.1	1 929	-
Cash and cash equivalents	15	1 184	762
Total Assets		**215 314**	**257 251**
EQUITY AND LIABILITIES			
Capital and reserves		**(217 957)**	**(147 876)**
Share capital and share premium	16	247 988	247 988
Accumulated loss		(465 945)	(395 864)
Non-current liabilities		**311 684**	**299 500**
Interest-bearing borrowings	18	7 046	1 514
Amount due to subsidiaries	19.3	304 638	297 986
Current liabilities		**121 587**	**105 627**
Amount due to contract customers	13.2	834	-
Trade and other payables	17	105 457	97 229
Amounts due to holding company	19.2	1 929	1 929
Provisions	27	4 458	761
Interest-bearing borrowings	18	7 375	5 708
Taxation payable		1 534	-
Total Liabilities		**433 271**	**405 127**
Total Equity and Liabilities		**215 314**	**257 251**

	Share Capital and premium	Accumulated loss	Total
	R'000	R'000	R'000
Balance as at 01 March 2023	247 988	(263 601)	**(15 613)**
Total comprehensive loss	-	(132 263)	**(132 263)**
Balance as at 01 March 2024	**247 988**	**(395 864)**	**(147 876)**
Total comprehensive loss	-	(70 081)	**(70 081)**
Balance as at 28 February 2025	**247 988**	**(465 945)**	**(217 957)**

.	Notes	2025 R'000	2024 R'000
Cash flows from operating activities			
Cash receipts from customers		181 603	286 163
Cash paid to employees and suppliers	4.4	(174 766)	(352 873)
Cash utilised by operations	20.3	**6 837**	**(66 710)**
Interest received	20.1	156	146
Interest paid	20.2	(1 997)	(1 802)
Net cash inflow / (outflow) from operating activities		**4 996**	**(68 366)**
Cash flows from investing activities			
Acquisition of property, plant and equipment		-	(2 713)
Proceeds on disposal of property, plant and equipment		11 639	1 548
Advance made to group companies		(14 497)	(32 675)
Net cash (outflow) from investing activities		**(2 858)**	**(33 840)**
Cash flows from financing activities			
Repayment of borrowings		(10 020)	(19 859)
Advance received from group companies	20.4	8 304	103 129
Net cash (outflow) / inflow from financing activities		**(1 716)**	**83 270**
Net increase / (decrease) in cash and cash equivalents		**422**	**(18 936)**
Cash and cash equivalent at the beginning of the year		762	19 698
Effect of exchange rate changes on cash and cash equivalents		1	-
Cash and cash equivalent at the end of the year	15	**1 184**	**762**

1. Material Accounting Policies

Material Accounting policies represent a summary of the company specific accounting policies adopted in the preparation of these financial statements and are set out below. They are not intended to be a complete list of all policies.

Basis of preparation

The company's financial statements have been prepared on an accruals basis and under the historical cost convention, with the exception of financial instruments carried at fair value.

The Company has elected not to prepare consolidated financial statements. The accounts as prepared are separate financial statements and the exemption from consolidation, in accordance with IFRS 10 Consolidated Financial Statements, has been used. The separate financial statements have been prepared in accordance with the requirements of IAS 27 Consolidated and Separate Financial Statements. Note 25 sets out the particulars of the consolidating parent entity.

Prepared in accordance with:

The annual financial statements are prepared in accordance with IFRS Accounting Standard (IFRS®), its interpretations adopted by the International Accounting Standards Board (IASB®), the SAICA Financial Reporting Guides as issued by the Accounting Practice Committee, the Financial Reporting Pronouncements as issued by the Financial Reporting Standards Council, and the Companies Act 71 of 2008.

These financial statements have been prepared on a basis consistent with that of the prior year, unless otherwise indicated.

Functional and presentation currency

South African Rand (ZAR)

Rounding policy

All amounts are presented in Rand thousand (R'000). The company has a policy of rounding in increments of R500. Amounts less than R500 will therefore be round down to Rnil and are presented as a dash.

Underlying concepts

The financial statements are prepared on the going concern basis, which assumes that the Company will continue in operation for the foreseeable future.

The financial statements are prepared using the accrual basis of accounting whereby the effects of transactions and other events are recognised when they occur, rather than when the cash is received or paid. Assets and liabilities and income and expenses are not offset unless specifically permitted by an accounting standard. Financial assets and financial liabilities are only offset when there is a legally enforceable right to offset, and the intention is either to settle on a net basis or to realise the asset and settle the liability simultaneously.

Accounting policies are the specific principles, bases, conventions, rules and practices applied in preparing and presenting financial statements. Changes in accounting policies are accounted for in accordance with the transitional provisions in the standard. If no such guidance is given, they are applied retrospectively.

If after making every reasonable effort to do so, it is impracticable to apply the change retrospectively, it is applied prospectively from the beginning of the earliest period practicable.

1. Material Accounting Policies *(continued)*

1.1. Summary of Material Accounting Policies

Revenue Recognition
- Construction contracts and sale of properties
- Contract assets / liabilities

Finance Income and Finance Costs
- Finance income
- Finance cost

Foreign currencies
- Transactions and balances

Employee Benefits
- Short term employee benefits
- Post-employment benefits

Impairments
- Subsidiaries
- Joint arrangements
- Joint operations and joint ventures

Operating Assets
- Property, plant and equipment
- Intangible assets
- Right of use assets
- Inventories
- Borrowing costs capitalised

Financial Instruments
- Financial assets
- Impairment of financial assets
- Financial liabilities
- Cash and cash equivalents
- Share capital

Taxation
- Current, deferred taxation, dividend tax and VAT

1.1.1. Revenue Recognition

The company recognises revenue from the following major sources:

- Revenue from contracts with customers:
- *Construction contracts for the construction of buildings, windfarms, bridges and other infrastructure*
- *Sale of properties*
- Rental income (*plant rentals*)

Revenue comprises of the consideration received or receivable on contracts entered into with customers in the ordinary course of the company's activities and is shown net of amounts collected on behalf of third parties. The amount of revenue recognised is the value of the transaction price allocated to each completed or partially completed performance obligation depicting the consideration the entity is entitled to, in exchange for transferring the goods and services promised within the contract to the customer. The Company has not entered into any contracts where the period between the transfer of the goods or services to the customer and payment by the customer exceeds one year. Therefore, no significant element of financing is present and no adjustment for the time value of money is made to the Company's transaction prices. The operating cycle relating to construction assets and construction liabilities is considered to be greater than 12 months. As these assets and liabilities are continually recycled through working capital (thereby distinguishing them from the assets and liabilities utilised in the long-term operations of the Company), they are accordingly classified as current assets and liabilities.

Construction Contracts

A construction contract is a contract specifically negotiated for the construction of an asset or a combination of assets that are closely inter-related or inter-dependent in terms of their design, technology, and functions, or their ultimate purpose or use. A group of contracts is treated as a single construction contract when the group of contracts is negotiated as a single package and the contracts are so inter-related that they are, in effect, part of a single project with an overall profit margin and are performed concurrently or in a continuous sequence and is a single performance obligation.

1. Material Accounting Policies *(continued)*

1.1.1. Construction Contracts *(continued)*

Revenue from construction contracts

Recognition

Revenue is recognised over time based on work actually performed (output method). Based on fair value of consideration received or receivable, including variations and claims and excluding value added tax. The output method is followed in measuring the progress towards satisfaction of the performance obligations. Revenue is measured with reference to surveys of work performed. When the surveys of work performed cannot be determined reliably, revenue is recognised only to the extent of the expenses recognised that are recoverable. Surveys of work performed are deemed to be the best output method, as these surveys are firstly performed internally and then approved and re-performed by a professional quantity surveyor of the client.

Measurement

Performance obligation

Performance obligation is measured based on actual construction work performed that transfers control of services promised to the customer based on the contract. Unsatisfied performance obligation (order book) is disclosed in the notes to the financial statements at the end of each financial reporting period.

Transaction price

The transaction price of contracts fixed or re-measurable based on the actual quantities of works carried out as per the contract rate, these will be stipulated within the contract.

Variable considerations

The Company is, from time to time, involved in various claims against customers for delays or other additional costs for which the customer is considered to be liable and recovery of variation orders. In estimating the outcome of a claim process, management considers historic outcomes of similar claims, stage of negotiation of the claim, advances received against the claim and in-house legal opinions.

Where claims and variation orders are recognised as revenue, management determines the quantum of these claims by reference to each contract and its specific facts and circumstances (most likely method). When management elects to recognise claims as revenue, these are recognised to the extent that it is highly probable that the claims will realise and is highly unlikely to be reversed in the future and once they are capable of being measured reliably.

Variable cosideration contrains

Contract price adjustments, arising from changes in contract scope, re measurement, escalation, incentives, penalties, or other price adjusting mechanisms within construction contracts, are accounted for as variable consideration. Such adjustments are included in the transaction price only when the amount can be reliably estimated and it is highly probable that their inclusion will not result in a significant reversal of cumulative revenue when the underlying uncertainty is resolved, in accordance with the variable consideration constraint in IFRS 15.57. This approach ensures that revenue is not recognised prematurely in circumstances where the consideration remains subject to change.

Significant financing component

The Company, sometimes, depending on the contracts receives advance payments. These are adjusted for the effects of time value of money only if the repayment through service provided is expected to be performed in more than 12 months from the financial reporting date where the expectation is that the customer will pay within 12 months the entity has opted to apply the practical expedient to not apply the effects of the time value of money. Retention debtors are specifically not included as part of significant financing component.

1. Material Accounting Policies *(continued)*

1.1. Summary of Material Accounting Policies (continued)

1.1.1. Construction Contracts *(continued)*

Contract costs

the specific project and are amortised over the contract period as from the inception of the contract, if not, they are recognised as an expense in the financial period when they actually incurred.

Costs to obtain the contract that are not expected to be recovered through profit on a specific project or that would have been incurred regardless of whether the contract was obtained (not incremental), are recognised as an expense in the financial period when they are actually incurred.

Cost to fulfil the contract

Cost to fulfil the contract are recognised as an asset only if they are directly related to the contract, generates or enhance resources the company to fulfil the promised performance obligation in the future and the costs are expected to be recovered.

Incurred costs recognised as an asset should be amortised on a systematic basis consistently with the transfer of the goods or services to which the asset relates.

Concor has selected revenue as a basis to amortise the asset.

Contract Assets

Description

Amounts due from contract customers is where performance under the contract exceeds the payment received to date or not received, a contract asset is recognised. Uncertified work, and certified work not yet invoiced is classified as contract assets.

Measurement

This is calculated based on the net position per contract after taking into account underclaims, overclaims, overstated and prepaid costs and advance payments.

Contract Liability

Description

Amounts due to contract customers relates to amounts received before related work is performed.

Measurement

This is calculated based on the net position per contract after taking into account underclaims, overclaims, overstated and prepaid costs, and advance payments.

Contract provision

Provisions are recognised when the company has a present legal or constructive obligation as a result of past events, for which it is probable that an outflow of economic benefits will occur. The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligation.

1. Material Accounting Policies *(continued)*

1.1.1. Construction Contracts *(continued)*

Contract provision (continued)

Estimates are made of the expected cash outflows relating to contracts from either warranty obligations or onerous contracts and provisions raised accordingly, refer to the accounting estimates and judgements note for further details. These provisions are raised in terms of IAS 37. Further refer to estimates and judgements.

Receivable from contract customers

Measured at progress billing certified less payments received.

Retention debtors

Retention debtors raised as part of debtors at the same time as contract debtors are recognised.

Order book

Included in the order book is future work relating to future projects as well as the remaining work on current projects that has been secured by the company.

1.1.2. Revenues from the sale of inventory property

The Company enters into contracts with customers to sell property that are either completed or under development.

- Completed inventory:

The sale of completed property constitutes a single performance obligation and the Company has determined that this is satisfied at the point in time when control transfers. For unconditional exchange of contracts, this generally occurs when legal title transfers to the customer. For conditional exchanges, this generally occurs when all significant conditions are satisfied.

Payments are received when legal title transfers which is usually within 6 months from the date when the offers to purchase are signed.

- Inventory under development:

The Company considers whether there are promises in the contract that are separate performance obligations to which a portion of the transaction price needs to be allocated. For contracts relating to the sale of property under development, the Company is responsible for the overall management of the project and identifies various goods and services to be provided, including design work, procurement of materials, site preparation and foundation pouring, framing and plastering, mechanical and electrical work, installation of fixtures (e.g., windows, doors, cabinetry, etc.) and finishing work. The Company accounts for these items as a single performance obligation because it provides a significant service of integrating the goods and services (the inputs) into the completed property (the combined output) which the customer has contracted to buy.

For the sale of property under development, the Company has determined that it generally does not meet the criteria to recognise revenue over time. In these cases, control is transferred and hence revenue is recognised at a point in time. This is either property sold to one customer encompassing either all of the land and building or multi-unit property.

1. Material Accounting Policies *(continued)*

1.1.2. Revenues from the sale of inventory property *(continued)*

- Other considerations regarding the sale of property inventory

For some contracts involving the sale of property, the Company is entitled to receive an initial deposit. This is not considered a significant financing component because it is for reasons other than the provision of financing to the Company. The initial deposits are used to protect the Company from the other party failing to adequately complete some or all of its obligations under the contract where customers do not have an established credit history or have a history of late payments.

1.1.3. Rental income (Plant rentals)

Overview	*Recognition*	*Measurement:*
Generated from plant rented out to projects.	When services are rendered.	Lease payments, net of discounts and VAT and after internal eliminations have been taken into account.

1.1.4. Finance income and finance costs

Finance Income

Overview	*Recognition*	*Measurement:*
Includes interest earned on positive cash balances, cash collaterals and the net investment on a lease.	Time proportion basis	Effective interest rate method (EI)

Finance Costs

Overview	*Recognition*	*Measurement:*
Finance costs represent the interest charges on loans and borrowings, lease liability and instalment sales agreements.	Time proportion basis	Effective interest rate method (EI)

1.1.5. Other Income

Type	*Recognition*	*Measurement:*
Rental income	Rental income from leases are recognised as operating leases, over the period of the lease.	Lease payments, net of discounts and VAT.
Profit on sale of assets	Transfer of control	To the extent that the consideration excl. VAT exceeds to the net book value of assets.
Management fees	As the company provides services and the customer consume services.	Based on 2.5% of revenue of the particular entity
Other income	When scrap is sold or services rendered	Consideration excl VAT

1. Material Accounting Policies *(continued)*

1.1.6. Foreign currencies

Type	*Measurement*
Foreign currency transactions	Transactions in foreign currencies are recorded at the rates of exchange ruling at the transaction date.
Foreign currency balances	Monetary assets and liabilities denominated in foreign currencies are translated at the functional currency rate of exchange ruling at the reporting date. Exchange differences are taken to profit or loss. If non-monetary items measured in a foreign currency are carried at historical cost, the exchange rate used is the rate applicable at the initial transaction date. If they are carried at fair value, the rate used is the rate at the date when the fair value was determined.

1.1.7. Employee Benefits

Short-term employee benefits

Includes — Salaries and wages, paid vacation leave, sick leave, COIDA, GPA and merit bonuses

Accounting: — These benefits are recognised as an expense (at their undiscounted amount) when there is a legal or constructive obligation to make such payments as a result of past performance. Furthermore, a corresponding liability is raised for the benefits after deducting any amounts already paid. If the amount already paid exceeds the undiscounted amount of benefits expensed, the entity recognises a pre-paid expense asset, to the extent that the prepayment will lead to reduction of future payments or a cash refund in the future

Termination benefits

Termination benefits are recognised when it is demonstrably committed to either terminate the employment of current employees according to a detailed formal plan without possibility of withdrawal or to provide termination benefits as a result of an offer made to encourage voluntary redundancy.

Post - employment benefits: Defined contribution plan

Includes — The Concor Group Provident Fund and the Construction Industry Retirement Benefit Plan covers permanent employees of the group and its subsidiary companies.

Accounting: — Obligations for contributions to defined contribution pension plans are recognised as an expense in staff costs in profit or loss as incurred in the periods during which services are rendered by employees.

1. Material Accounting Policies *(continued)*

1.1.8. Interest in Other Entities

Subsidiaries

Investments in subsidiaries are initially recognised at cost and are subsequently measured at cost less any accumulated impairment.

Joint Arrangements

A joint arrangement is an arrangement over which two or more parties have joint control. Joint control is the contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require unanimous consent of the parties sharing control. In determining the classification of joint arrangements, management considered the following:

(a) Contractual agreements with respect to sharing control; and
(b) Whether parties are jointly and severally liable for the joint arrangement's rights and obligations.

Joint Operations and Joint Ventures

Management assesses whether a joint arrangement can be classified as a joint operation or joint venture. This assessment depends on whether the joint arrangement has rights to the assets and obligations for the liabilities, relating to the arrangement. The company recognises its investment as joint operations when the operations are performed through unincorporated arrangements such as partnerships and contracts, and the company has rights to the assets and obligations for the liabilities. Other investments are recognised as joint ventures when the company only has rights to the net assets of the arrangement.

Associates and Joint Ventures	*Joint Operations*
Initial recognition and measurement	
Associates and joint ventures are accounted for using the equity method. Interest in equity-accounted investees are initially recognised at cost. Goodwill recognised on the acquisition of a joint venture as well as an associate company is included in the carrying amount of the investment.	Results of joint operations are included when two or more parties combine their operations, resources and expertise in order to manufacture or build a particular product.

De-recognition	
On the date that the equity-accounted investments are disposed of, the entity ceases to equity account the investments.	When the combined operation ceases, the company's share of the assets and liabilities held jointly as well as its share of profits or losses is derecognised.

Subsequent measurement	
Subsequent to initial recognition, the company recognises its share of the profit or loss and other comprehensive income until the date on which joint control ceases.	The company has rights to the assets and obligations for its liabilities in a joint operation and therefore recognises in relation to its interest in a joint operation the following (a) its assets, including its share of assets held jointly (b) its liabilities, including its share of any liabilities (c) its share of the revenue from the sale of the output (d) its expenses, including its share of any expenses

1. Material Accounting Policies *(continued)*

1.1.8. Interest in Other Entities *(continued)*

Impairment
The Company assesses whether there is any indication that an equity-accounted investee may be impaired at each reporting date. An impairment is recognised when there is objective evidence that the equity-accounted investment is impaired. Impairment losses are deducted from the carrying amount of these investments. Any impairment is calculated after application of the equity method. Losses resulting from transactions with equity-accounted investees are recognised only to the extent of unrelated investor interests in the equity-accounted investees.

1.1.9. Operating Assets

Property, Plant and Equipment

Property, plant and equipment is stated at cost, excluding the costs of day-to-day servicing, less accumulated depreciation and accumulated impairment losses.

Where an item of property, plant and equipment comprises major components with different useful lives, the components are accounted for as separate assets. Expenditure incurred on major inspection and overhaul, or to replace an item is also accounted for separately if the recognition criteria are met. All other repairs and maintenance expenditures are charged to profit or loss during the financial period in which they are incurred.

Each part of an item of property, plant and equipment with a cost that is significant is depreciated separately.

Depreciation is calculated on a straight-line basis, on the difference between the cost and residual value of an asset, over its useful life. Depreciation starts when the asset is available for use. An asset's residual value, useful life and depreciation method are reviewed at least at each financial year-end.

Any adjustments to residual value, useful life or depreciation method applied are accounted for prospectively.

The following useful lives have been estimated:

Major Plant and Equipment	*8000 - 24 000 hours*
Other Plant and Equipment	*3 - 10 years*
Motor Vehicles	*4 - 5 years*
Computer hardware	*3 years*
Freehold land	*Not depreciated*
Furniture and office equipment	*3 - 15 years*

An item of property, plant and equipment is de-recognised upon disposal or when no future economic benefits are expected from its use. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the statement of comprehensive income in profit or loss in the year the asset is de-recognised.

1. Material Accounting Policies *(continued)*

1.1.9. Operating Assets *(continued)*

Right of use assets

Category	*Initial measured*	*Subsequent measurement*	*Depreciation method and period*
Land and buildings	Right of use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or the site on which it is located, less any lease incentives received.	Cost less accumulated depreciation and accumulated impairment losses.	Over the shorter of the lease term and useful life, with the exception of assets that are rent to own (ownership passes), which are depreciated over its anticipated useful live.
Plant and equipment			
Furniture and fittings			
Computer equipment			

Intangible Assets

Computer software

Intangible assets acquired separately are measured on initial recognition at cost. Subsequently, intangible assets are carried at cost less any accumulated amortisation and accumulated impairment losses.

The useful lives (3 to 10 years) of intangible assets are finite. Intangible assets with finite lives are amortised over their useful life and assessed for impairment when there is an indication that the asset may be impaired. Due to changes in circumstances the amortisation period and the amortisation method are reviewed at each year-end.

Amortisation is recognised in profit or loss in administrative expenses

An intangible asset is derecognised on disposal or when no future economic benefits are expected from its use or disposal.

Gains or losses arising from de-recognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in profit or loss when the asset is de-recognised.

1.1.10. Leases liabilities

A contract is assessed at inception whether it contains a lease or not. A lease conveys the right to direct the use and obtain substantially all of the economic benefits of an identified asset for a period of time in exchange for consideration. Non - lease components are expensed in the period it is incurred.

Lease liability

Initial recognition and measurement	*Subsequent measurement*
Lease liabilities are initially measured at present value of the lease payments that are not paid at the commencement date, discounted using the company's incremental borrowing rate at the date of initial application.	At amortised costs

1. Material Accounting Policies *(continued)*

1.1.10. Leases liabilities *(continued)*

Short - term leases and leases of low value assets

The Company has elected not to recognise a right of use assets and corresponding lease liability for short-term leases that have lease term of 12 months or less and leases of low value assets. Low value assets are defined as printers, scanners and photocopy machines. associated lease payments are recognised in profit and loss on a straight line basis over the term of the relevant lease.

The company had no lease liability as at the end of the financial period.

1.1.11. Inventories

Spares, consumables and finished goods

Inventories consist of spares, consumables and finished goods. These inventories will be used in the normal operating cycle. Cost is determined on a weighted average basis. Inventories are subsequently measured at the lower of cost or net realisable value.

Inventory property

Property that is being constructed for sale in the ordinary course of business, rather than to be held for rental or capital appreciation, is held as inventory property and is measured at the lower of cost and net realisable value (NRV).

Principally, this is residential and commercial property that the Company develops and intends to sell before, or on completion of, development.

Cost incurred in bringing each property to its present location and condition includes:

- Amounts paid to contractors for development
- Planning and design costs, costs of site preparation, professional fees for legal services, property transfer taxes, development overheads (that does not form part of cost to fulfil) and other related costs

NRV is the estimated selling price in the ordinary course of the business, based on market prices at the reporting date, less estimated costs of completion and the estimated costs necessary to make the sale.

When an inventory property is sold, the carrying amount of the property is recognised as an expense in the period in which the related revenue is recognised. The carrying amount of inventory property recognised in profit or loss is determined with reference to the directly attributable costs incurred on the property sold and an allocation of any other related costs based on the relative size of the property sold.

Property development is classified as inventory split into work in progress (WIP) and completed. Upon practical completion WIP is reclassified to completed property development.

The cost formula applied is the weighted average cost formula.

Borrowing Costs

All borrowing costs are capitalised when it is directly attributable to the acquisition or construction of a qualifying asset. Borrowing costs consist of interest and other costs that an entity incurs in connection with the borrowing of funds. Capitalisation of borrowing costs ceases once the asset is ready for sale (practical completion).

1. Material Accounting Policies *(continued)*

1.1.12. Impairment of Non-Financial Assets

The Company assesses, at each reporting date, whether there is an indication that an asset may be impaired. If such an indication exists, or when impairment testing is required, as is the case with goodwill and intangible assets, the Company estimates the recoverable amount. An asset's recoverable amount is the higher of the fair value less costs of disposal and its value in use. The recoverable amount is determined for individual assets, unless the asset does not generate cash inflows that are largely independent of those from other assets or group of assets. When the carrying value exceeds the recoverable amount, the asset is considered impaired and is written down to the recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

In determining fair value less costs of disposal, recent market transactions are taken into account. If no such transactions can be identified, an appropriate valuation model is used.

The Company bases its impairment calculation on detailed budgets and forecast calculations, which are prepared separately for each of the Company's cash generating units to which the individual assets are allocated. These budgets and forecast calculations generally cover a period of ten years. Ten years are used in instances where the Company believes that assets have a value in use of 10 or more years. For longer periods, a long-term growth rate is calculated and applied to project future cash flows after the tenth year.

The following asset has specific characteristics for impairment testing:

Intangible

Intangible assets are tested for impairment:

- annually at the reporting date; and
- when circumstances indicate that the carrying value may be impaired.

1.1.13. Financial Instruments

Financial assets, financial liabilities and equity instruments are recognised in the statement of financial position when the company becomes a party to the controlled provisions of the instrument.

Financial Assets

Initial recognition and measurement

Financial assets are classified and measured at initial recognition at:

1. amortised cost;
2. fair value through other comprehensive income (OCI); or
3. fair value through profit or loss;

based on the financial asset's contractual cash flow characteristics and the Company's business model for managing the financial assets.

1. Material Accounting Policies *(continued)*

1.1.13. Financial Instruments *(continued)*

Trade/Contract receivables that do not contain a significant financing component or for which the Company has applied the practical expedient are measured at the transaction price (refer to accounting policy "Revenue from construction contracts").

All other financial assets should be measured at its fair value, plus, in the case of a financial asset not at fair value through profit or loss, transaction costs.

In order for a financial asset to be classified and measured at amortised cost or fair value through OCI, it needs to give rise to cash flows that are 'solely payments of principal and interest (SPPI)' on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level.

The Company's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both.

Subsequent measurement

For purposes of subsequent measurement, financial assets are classified in three categories:

1. Financial assets at amortised cost (debt instruments);
2. Financial assets designated at fair value through OCI with no recycling of cumulative gains and losses upon de-recognition (equity instruments); or
3. Financial assets at fair value through profit or loss.

Financial assets at amortised cost (debt instruments)

This category is the most relevant to the Company. The Company measures financial assets at amortised cost if both of the following conditions are met:

1. The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows; and
2. The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

These financial assets are subsequently measured using the effective interest (EI) method and are subject to impairment. Gains and losses are recognised in profit or loss when the asset is derecognised, modified or impaired.

The Company's financial assets at amortised cost includes trade / contract receivables and other receivables.

Financial assets at fair value through profit or loss

Financial assets at fair value through profit or loss include financial assets held for trading, financial assets designated upon initial recognition at fair value through profit or loss, or financial assets mandatorily required to be measured at fair value. Financial assets are classified as held for trading if they are acquired for the purpose of selling or repurchasing in the near-term.

Financial assets with cash flows that are not solely payments of principal and interest are classified and measured at fair value through profit or loss, irrespective of the business model. Notwithstanding the criteria for debt instruments to be classified at amortised cost or at fair value through OCI, as described above, debt instruments may be designated at fair value through profit or loss on initial recognition if doing so eliminates, or significantly reduces, an accounting mismatch.

1. Material Accounting Policies *(continued)*

1.1.13. Financial Instruments *(continued)*

Financial assets at fair value through profit or loss are carried in the statement of financial position at fair value with net changes in fair value recognised in the statement of profit or loss.

De-recognition

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is primarily derecognised or removed from the Company's statement of financial position when:

1. The rights to receive cash flows from the asset have expired; or
2. The Company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either

- the Company has transferred substantially all the risks and rewards of the asset, or
- the Company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

Impairment of financial assets

Further disclosures relating to significant assumptions are presented in note 21. Disclosures relating to the impairment of financial assets are also provided in the note 14 and note 19.6.

Simplified Approach

For trade/contract receivables, the Company applies a simplified approach in calculating expected credit losses. Therefore, the Company does not track changes in credit risk, but instead recognises a loss allowance based on lifetime expected credit losses at each reporting date. The Company has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

The Company considers a financial asset in default when contractual payments are past due for more than a year and not subject to enforcement activity, this has been selected due to the client base of the company and past experience. However, in certain cases, the Company may also consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full, before taking into account any credit enhancements held by the Company. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows. Generally this is when the financial asset is due for more than 3 years and not subjected to enforcement activity.

General Approach

For amounts due from subsidiary (group loans), the Company applies the general approach (IFRS 9 paragraph 5.5.1) in calculating the allowance for expected credit losses. Therefore, the Company track changes in credit risk, and will recognises a loss allowance based on either, a 12-month expected credit loss or a lifetime expected credit losses at each reporting date, depending on whether there has been a significant change in the credit risk associated with the relevant instrument. The Company base it's allowance on historical credit loss experience, adjusted for forward-looking factors specific to the group company and the economic environment.

1. Material Accounting Policies *(continued)*

1.1.13. Financial Instruments *(continued)*

Impairment of financial assets (continued)

General Approach *(continued)*

The Company considers a financial asset in default when contractual payments are past due for more than a year and not subject to enforcement activity, this has been selected due to past experience and the fact that parties to the transaction are under common control. However, in certain cases, the Company may also consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full, before taking into account any credit enhancements held by the Company. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows, e.g. if there is an intention to liquidate.

Quantification of expected credit losses

The first step of the general model is to determine which impairment 'stage' the group loan sits within. At initial recognition, group loans are generally within 'stage 1', which requires a 12-month expected credit loss to be calculated for each group loan balance. The model then requires monitoring of the credit risk associated with the loan to consider if there has been a significant increase since initial recognition. If there has been a significant increase in credit risk (the intercompany loan is now in 'stage 2'), or the asset has become credit impaired (the intercompany loan is now in 'stage 3'), a lifetime expected credit loss must be recognised.

12-month ECL are the portion of the lifetime ECL that result from default events on a financial instrument that are possible within 12 months after the reporting date. Financial instruments for which 12-month ECL are recognised are referred to as "Stage 1 financial instruments". Financial instruments allocated to Stage 1 have not undergone a significant increase in credit risk since initial recognition and are not credit impaired.

Lifetime ECL are ECL that result from all possible default events over the expected life of the financial instrument or the maximum contractual period of exposure. Financial instruments for which lifetime ECL are recognised, but that are not credit impaired are referred to as "Stage 2 financial instruments". Financial instruments allocated to Stage 2 are those that have experienced a significant increase in credit risk (e.g. financial performance) since initial recognition, but are not credit impaired.

Financial instruments for which lifetime ECL are recognised and which are credit impaired are referred to as "Stage 3 financial instruments".

Methodology applied to quantify the allowance for expected credit losses

Once the 'stage' that the group loan sits within has been determined, expected credit losses should be calculated; the method for calculating the expected credit loss is to consider the probability of default ('PD'), loss given default ('LGD') and exposure at default ('EAD'), using the PD*LGD*EAD methodology:

PD is the likelihood of a default happening over a prescribed period; for the purposes of IFRS 9, this is either within 12 months, if the group loan is within 'stage 1', or through the whole life of the loan, if the group loan is within 'stage 2 or 3'.

LGD is the percentage that could be lost in the event of a default. Collateral and other credit enhancements (such as guarantees or credit insurance) can reduce the LGD.

EAD is the outstanding balance of the loan.

1. Material Accounting Policies *(continued)*

1.1.13. Financial Instruments *(continued)*

Impairment of financial assets (continued)

General Approach *(continued)*

Methodology applied to quantify the allowance for expected credit losses (continued)

The Company applies the practical expedient to group loans that are low risk and where there has not been a significant increase in credit risk since initial recognition.

If the group loan is not 'low credit risk', it is necessary to determine whether there has been a significant increase in credit risk since initial recognition of the group loan (it is in 'stage 2'), or the loan is credit-impaired (it is in 'stage 3') (that is, a lifetime expected credit loss needs to be applied). This is assessed internal within the group through the use of liquidity and solvency ratios, including liquidity forecasts.

Financial liabilities

Initial recognition and measurement

Financial liabilities are classified, at initial recognition, as financial liabilities at fair value through profit or loss or amortised cost. All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs. The Company's financial liabilities include trade and other payables, loans and sub-contracts liabilities.

Subsequent measurement

All financial liabilities are subsequently measurement at amortised cost except for, financial liabilities at fair value through profit or loss that are held for trading and those designated at initial recognition as at fair value through profit or loss.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the effective interest (EI) rate method.

The EI amortisation is included as finance costs in the statement of profit or loss.
This category generally applies to interest-bearing loans and borrowings and trade and other payables.

De-recognition

A financial liability is de-recognised when the obligation under the liability is discharged, cancelled or expired. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the de-recognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in the statement of profit or loss.

Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the consolidated statement of financial position if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, to realise the assets and settle the liabilities simultaneously.

1. Material Accounting Policies *(continued)*

1.1.13. Financial Instruments *(continued)*

Fair value of financial instruments

To measure fair value, the Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

The Company uses the following hierarchy for determining and disclosing the fair value of financial instruments measured at fair value by valuation technique:

Level 2 Other valuation techniques for which all inputs which have a significant effect on the recorded fair value are observable, either directly or indirectly, and:

Level 3 Valuation techniques which use inputs which have a significant effect on the recorded fair value that are based on unobservable market data.

Cash and Cash Equivalent

Cash and cash equivalents comprise cash on hand, demand deposits and cash equivalents which are highly liquid investments that are convertible into cash with an insignificant risk of changes in value with original maturities of three months or less. Cash in escrow accounts are excluded from cash and cash equivalents.

Capital and Reserves

Share capital

Share capital issued by the company is recorded at the proceeds received, net of issue costs.

Reserves

Retained earnings comprise accumulated profits or losses from prior years less dividends to equity holders. Dividends are included in the statement of changes in equity in the year in which they are declared.

1.1.14. Taxation

Current income taxation

Current income tax is based on taxable profit for the year. Taxable profit differs from profit as reported in the statement of comprehensive income because it excludes items of income or expense that are taxable or deductible in other years, and it further excludes items that are never taxable or deductible.

Current tax relating to items recognised outside profit or loss is recognised in other comprehensive income and not in profit or loss. Current tax items are recognised in correlation to the underlying transaction either in other comprehensive income or directly in equity.

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authorities. The Company's liability for current tax is calculated using the tax rate that has been enacted.

1. Material Accounting Policies *(continued)*

1.1.14. Taxation *(continued)*

Deferred tax

Deferred tax is provided using the liability method on all temporary differences at the reporting date. Temporary differences are differences between the carrying amounts of assets and liabilities for financial reporting purposes and their tax base.

Deferred tax liabilities are recognised for taxable temporary differences, except:

1. where the liability arises from the initial recognition of goodwill or an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and
2. in respect of taxable temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, where the timing of the reversal of the temporary differences can be controlled, and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred tax assets are recognised for all deductible temporary differences, carry forward of unused tax credits and unused tax losses, where it is probable that the asset will be utilised in the foreseeable future, except:

1. where the asset arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and
2. in respect of deductible temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, only to the extent that it is probable that the differences will reverse in the foreseeable future, and taxable profit will be available against which these differences can be utilised.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Unrecognised deferred tax assets are re-assessed at each reporting date and recognised to the extent it has become probable that future taxable profit will allow the asset to be utilised.

Deferred tax is calculated at the tax rates that are expected to apply in the period when the liability is settled or the asset realised based on tax rates and laws that have been enacted or substantively enacted by the reporting date.

Deferred tax is charged to profit or loss, except to the extent that it relates to a transaction that is recognised outside profit or loss or a business combination that results from an acquisition.

In this case, the deferred tax items are recognised in correlation to the underlying transaction either in other comprehensive income or directly in equity.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to offset and they relate to income taxes levied by the same taxation authority.

Dividends tax

A Dividends Tax of 20% on dividend distributions is withheld from shareholders and paid to the South African Revenue Service, where applicable.

1. Material Accounting Policies *(continued)*

1.1.14. Taxation *(continued)*

Value Added Tax (VAT)

Revenues, expenses and assets are recognised net of the amount of VAT, except:

1. where the VAT incurred on a purchase of fixed assets or services is not recoverable from the taxation authority, in which case the VAT is recognised as part of the cost of acquisition of the asset or as part of the expense item as applicable; and
2. receivables and payables are stated with the amount of VAT included.

The net amount of VAT recoverable from, or payable to, the taxation authority is included as part of receivables or payables in the statement of financial position.

1.1.15. Events after reporting date

Recognised amounts in the financial statements are adjusted to reflect significant events arising after the date of the statement of financial position, but before the financial statements are authorised for issue, provided there is evidence of the conditions existing at the reporting date. Events after the reporting date that are indicative of conditions that arose after this date are dealt with by way of a note.

2. New Accounting Standards and IFRIC Interpretations

Standards, amendments and interpretations to existing standards that became effective during the financial year:

The following amendments did not have an impact on the Company:

- Classification of Liabilities as Current or Non-Current (Amendments to IAS 1)
- Non-current Liabilities with Covenants (Amendments to IAS 1)
- Supplier Finance Arrangements (Amendments to IAS 7 and IFRS 7)

Standards, amendments and interpretations to existing standards that are not yet effective:

The Company has chosen not to early adopt the following standards and interpretations, which have been published and are mandatory for the company's accounting periods beginning on or after 1 January 2025 or later periods.

Pronouncement	*Type*	*Effective date*	*Impact*
Lack of Exchangeability (Amendments to IAS 21)			
The amendments contain guidance to specify when a currency is exchangeable and how to determine the exchange rate when it is not.	New	01-Jan-25	This has no impact on the entity
Amendments IFRS 9 and IFRS 7 regarding the classification and measurement of financial instruments			
The amendments address matters identified during the post-implementation review of the classification and measurement requirements of IFRS 9 Financial Instruments.	New	01-Jan-26	This has no impact on the entity
Annual Improvements to IFRS Accounting Standards — Volume 11			
• IFRS 1: Hedge accounting by a first-time adopter • IFRS 7: Gain or loss on derecognition • IFRS 7: Disclosure of deferred difference between fair value and transaction price • IFRS 7: Introduction and credit risk disclosures • IFRS 9: Lessee derecognition of lease liabilities • IFRS 9: Transaction price • IFRS 10: Determination of a 'de facto agent' • IAS 7: Cost method	New	01-Jan-26	This has no impact on the entity

2. New Accounting Standards and IFRIC Interpretations *(continued)*

Standards, amendments and interpretations to existing standards that are not yet effective:

Pronouncement	*Type*	*Effective date*	*Impact:*
Contracts Referencing Nature-dependent Electricity (Amendments to IFRS 9 and IFRS 7)			
The amendments specifically target the use of PPAs as designated hedging instruments in qualifying hedge relationships. The amendments specify that for such a hedging relationship, the hedged item may be designated as a variable nominal amount of forecast electricity transactions, which is aligned with the variable amount of electricity that is expected to be delivered under a PPA designated as the hedging instrument.	New	01-Jan-26	This has no impact on the entity

IFRS 18 Presentation and Disclosure in Financial Statements			
The standard will improve reporting of financial performance.	New	01-Jan-27	Disclosure impact on the financial statements of the entity.

IFRS 19 Subsidiaries without Public Accountability: Disclosures			
The new Standard creates a reduced set of disclosures that certain in-scope entities can elect to apply instead of the disclosure requirements set out in other IFRS Accounting Standards. IFRS 19 will work alongside other standards, with eligible subsidiaries applying the measurement, recognition and presentation requirements set out in other IFRS Accounting Standards and the revised disclosures outlined in IFRS 19.	New	01-Jan-27	No impact

3. Material Accounting Estimates, Judgements and Assumptions

The preparation of the Company's financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities and the accompanying disclosures and the disclosure of contingent liabilities. Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations and future events that are believed to be reasonable under the circumstances. Actual results may differ from the estimates made by management from time to time.

Other disclosures relating to the Company's exposure to risks and uncertainties include:

1. Capital management
2. Financial instruments risk management objectives and policies
3. Sensitivity analyses disclosures

3.1. Judgements

In the process of applying the Company's accounting policies, management has made the following judgements, which have the most significant effect on the amounts recognised in the financial statements:

Going Concern Assumption

In determining the appropriateness of the going concern assumption the following judgments were made regarding the Company and Group, in terms of the approved turnaround plan, liquidity forecasts and expected balance sheet restructuring of Mining Services:

1. Balance Sheet Solvency:

   Recapitalisation of the Mining Services balance sheet through a compromise or through Concor (Pty) Ltd.

2. Liquidity forecast (based on business plan)

   Certain assumption have been made around tender awards as part of the business plan that feeds into the liquidity forecasts of the Company, these assumption were based on a balance of probabilities, these include amongst others, commercial close out discussions and where the Company was identified as a preferred bidder.

   An assumption has also been made around continuous funding support from group companies.

Revenue from Mining Contracts

Determining performance obligations

Majority of mining contracts have various sub-level performance obligations which are highly integrated with each other, the construction contracts are considered to be significantly integrated. It therefore requires judgement to assess each performance obligation within each contract. Most of the contracts are viewed as one performance obligation for the Company's purposes.

3. Material Accounting Estimates, Judgements and Assumptions *(continued)*

3.1. Judgements *(continued)*

Revenue from Mining Contracts *(continued)*

Consideration of significant financing component in a construction contract

In certain instances, the Company receives advance payments when starting on a contract as part of the negotiated price. The Company concluded that there is a significant financing component for those contracts where the client elects to pay in advance, other than advance payments received and utilised within 12 months. The financing component is calculated based on the length of time between the client's payment and the transfer of goods and services over time, relating to the advance payment received. This financing component is recognised in profit or loss as finance costs as it is incurred. An appropriate interest rate is applied, which reflects the separate financing transaction between the group and the client. At current, no advance payments are recouped for longer than a 12 month period.

Recoverability of underclaims (uncertified works) recognised as revenue

Revenue can only be recognised if the Company determines that is highly probable that there will not be a significant reversal of revenue of cumulative revenue in future periods. There is significant judgement by quantity surveyors / engineers taken during the measurement of underclaims and assessing the likelihood that no significant reversal will occur in future periods.

Contract price adjustments

Management applies judgement when assessing whether contract price adjustments should be recognised, considering the status of negotiations, contractual entitlement, project performance, historical outcomes, and customer behaviour. Estimates are reviewed at each reporting date and updated as new information becomes available.

Joint Arrangements

The Company participates in projects through various joint arrangements, both incorporated and unincorporated. For incorporated joint arrangements the Company performs a detailed analysis around the contractual agreements in place with the partners and clients, to determine whether the Company has a right to assets and obligations to liabilities, or whether it has a right to the net assets of the joint arrangement and whether joint and several liability to execute the contract is enforced by the client and the agreement with the partners.

Expected Credit Losses

Establishing the criteria for determining whether the credit risk on a financial asset has increased significantly since initial recognition, determining the methodology for incorporating forward-looking information into the measurement of ECL and the selection of the model used to measure ECL.

3.2. Estimates and Assumptions

Provisions

Provisions are raised when deemed necessary by management, estimates of the expected outflows is made based on the information available at the time, management’s prior knowledge and experience from previous projects. These provisions have a high degree of uncertainty regarding the quantification thereof and are expected to be utilised within the next 12 months.

3. Material Accounting Estimates, Judgements and Assumptions *(continued)*

3.2. Estimates and Assumptions *(continued)*

Provisions *(continued)*

Contract-related provisions

These provisions include the following:

Warranties:

Warranties are raised in terms of construction contracts entered into by the company. These contracts impose an obligation on the company to correct defects and errors on construction sites post-completion and de-establishment from the site. Warranties usually run for 12 months from the point at which the site is accepted by the client. These provisions are raised based on management's best estimate of the costs expected to be incurred based on similar projects and sites in the past, adjusted for any site-specific factors or warranties, and only subcontractors retention are discounted due to the long-term nature associated with them.

Onerous contracts

A specific provision made for onerous contracts, in instances in which the unavoidable costs of meeting obligations under the contract exceed the economic benefits expected to be received under it. The present obligation under the contract is recognised and measured as a provision.

Employee-related provisions

These provisions consist mainly of employee incentive awards based on individual performance also taking into account company performance and other factors yet to be finalised at year-end. These provisions are normally paid within six months of the financial year-end.

Provision for expected credit losses of trade receivables, contract assets and receivables

The Company uses a provision matrix to calculate ECLs for trade receivables, contract assets and receivables. The provision rates are based on days past due for groupings of various customer segments that have similar loss patterns. The provision matrix is initially based on the Company's historical observed default rates. The Company will calibrate the matrix to adjust the historical credit loss experience with forward-looking information. For instance, if forecast economic conditions (i.e., gross domestic product) are expected to deteriorate over the next year which can lead to an increased number of defaults in a customer segment, the historical default rates are adjusted. At every reporting date, the historical observed default rates are updated and changes in the forward-looking estimates are analysed.

The assessment of the correlation between historical observed default rates, forecast economic conditions and ECLs is a significant estimate. The amount of ECLs is sensitive to changes in circumstances and of forecast economic conditions. The Company's historical credit loss experience and forecast of economic conditions may also not be representative of customer's actual default in the future.

Taxation

The calculation of the company's tax charge and provision for income taxes necessarily involves a degree of estimation.

3. Material Accounting Estimates, Judgements and Assumptions *(continued)*

3.2. Estimates and Assumptions *(continued)*

Taxation *(continued)*

The Company recognises liabilities for anticipated tax audit issues based on estimates of whether additional taxes will be due after taking into account external advice where appropriate. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the current and deferred income tax assets and liabilities in the reporting period in which such determination is made.

Management assesses the extent to which it is probable that taxable profit will be available against which deductible temporary differences can be utilised.

The management considered the following criteria in assessing the probability that taxable profit will be available against which the unused tax losses can be utilised:

1. Whether the entity has sufficient taxable temporary differences relating to the same taxation authority and the same taxable entity, which will result in taxable amounts against which the unused tax losses can be utilised;
2. Whether it is probable that the entity will have taxable profits before the unused tax losses expire;
3. Whether the unused tax losses result from identifiable causes which are unlikely to recur.

To determine the probability that taxable profit will be available against which the unused tax losses can be utilised, management has reviewed its budgets for the foreseeable future and compared that to its total tax losses.

Operating Assets

Useful lives

Land is not depreciated as it is deemed to have an indefinite useful life. Major plant and equipment based on production hours and all other - straight-line basis over their useful lives. The useful life of an asset is the period which the Company expects to utilise the benefits embodied in the assets, and not necessarily the assets' economic life. Useful lives of assets are reviewed annually.

The Company uses the following indicators to determine useful life:

1. Expected usage of assets
2. Expected physical wear and tear
3. Technical and commercial obsolescence.

The following useful lives have been estimated:

Major Plant and Equipment	*8000 - 24 000 hours*
Other Plant and Equipment	*3 - 10 years*
Motor Vehicles	*4 - 5 years*
Computer hardware	*3 years*
Freehold land	*Not depreciated*
Furniture and office equipment	*3 - 15 years*

3. Material Accounting Estimates, Judgements and Assumptions *(continued)*

3.2. Estimates and Assumptions *(continued)*

Operating Assets *(continued)*

Residual values

An estimate is made of the amount the Company would expect to receive currently for the asset if the asset were already of the age and condition expected at the end of its useful life. Residual values are reviewed annually.

Impairment

Management assesses changes in interest rates, currency exchange rates as well as the state of affairs in the construction sector, as indicators that impairment testing may need to be performed.

Provision for expected credit losses of group loan

Determination of inputs used in the ECL model, including the assumption in estimating recoverable cash flows and incorporating forward-looking information.

Inputs that require significant assumptions include:

1. PD - Probability of default.
2. LGD - Loss given default.

		2025 R'000	2024 R'000
4. Revenue from contract customers		102 575	153 815
4.1. Disaggregated of revenue from contracts with customers			
Opencast mining			
- Coal		90 700	78 717
- Platinum		11 875	75 098
		102 575	**153 815**
Geographical markets (Provinces)			
South Africa			
- Limpopo		87 917	75 098
- Mpumalanga		14 658	78 717
		102 575	**153 815**
The company primarily operates in South Africa, with limited operation in Mozambique			
The company is exposed to the following sectors:			
Government		14 455	40 864
Private (Mining)		88 120	112 951
		102 575	**153 815**
Timing of revenue recognised			
Services recognised over time		102 575	153 815
4.2 Contract Balances	Notes		
Contract receivables	14.1	7 186	27 472
Amounts due from contract customers	13.1	2 385	8 215
Amount due to contract customers	13.2	834	-
Gross Contract assets (represented by underclaims and overstated costs)		2 385	8 215

Contract asset - Amounts due from contract customers

Relates to revenue earned (underclaims) and overstated costs from ongoing construction work, as such the balance of this account varies year on year and depends on the company's order book (secured revenue), agreed measurement and billing period with clients. Underclaims are usually invoiced a month in arrears, with certain exceptions. The significant change is due to the reduction in workload.

4.2 Contract Balances *(continued)*

Impairment consideration of contract assets

There were no impairment losses recognised on contract assets during the years ended 28 February 2025 and 29 February 2024. This is primarily attributed to the short timing before certification of underclaims.

Contract assets can be disaggregated into two main categories to assess credit risk: Underclaims and Materials on site.

Work in progress includes timing differences between measured work performed but not yet certified and invoiced, pending sign-off from clients' quantity surveyors. Revenue is recognised based on measured work performed. Any work measured but not yet certified is treated as work in progress, until such time as it is certified and invoiced. Once invoiced, the balance is reclassified to contract debtors.

Materials on site includes costs incurred to complete the contract, but contractually cannot be billed at period end as it has not been used in measured work performed.

A change in time frame for a right to consideration to become unconditional (contract asset)

Underclaims are divided into certified and awaiting certification. Measurement periods are agreed with clients. There has been no change in the time frame for when a consideration becomes unconditional.

4.3 Transaction price allocated to unsatisfied performance obligation

	2025 R'000	2024 R'000
To be recognised in the following manner:		
Less than one year	26 664	137 527
More than one year but not later than five years	139 408	241 447
	166 072	**378 974**

The company's agreed receivable payment terms range between 30 to 60 days.

4.4. Operating Lease Income

Plant Hire	**77 090**	**92 984**

Nature of leasing activities and risk management

The Company leases out earth moving equipment to clients. It manages the retained risk in the underlying assets through residual value guarantees and variable lease payments for use in excess of specified limits.

The following table sets out a maturity analysis of lease payments, showing the undiscounted lease payments to be received after the reporting date.

	Year 1 R'000	Year 2 R'000	Year 3 R'000	Total R'000
Maturity analysis				
Lease payments expected - 2025	32 132	34 483	38 762	**105 377**
Lease payments expected - 2024	40 597	46 908	49 466	**136 971**

	2025 R'000	2024 R'000
5. Other Income		
Management fees	4 978	9 620
	4 978	**9 620**
6. Operating (loss) / profit		
External audit services	1 228	106
Depreciation	20 752	18 784
Impairments	13 049	
Loss on disposal of property, plant and equipment	1 186	1 885
Salaries and wages	83 201	167 305
Pension costs	4 514	8 888
Allowances for expected credit losses for trade receivables	15 993	8 131
Allowance for expected credit losses for group companies	4 706	97 331
Forex	12 633	-
7. Finance Income		
Bank interest	156	146
	156	**146**
8. Finance Costs		
Creditors	(173)	(283)
Bank and other	(11)	(15)
Instalment sales	(556)	(1 504)
Finance lease	(1 257)	-
	(1 997)	**(1 802)**

		2025 R'000	2024 R'000
9. Taxation			
South African normal taxation		**(1 278)**	**-**
- Current year		(1 278)	-
- Capital gains tax		-	-
Deferred tax expense		-	-
- Current year		-	-
- Under provision previous year		-	-
Taxation		**(1 278)**	**-**
Reconciliation of Tax Charge	Notes	(1 278)	-
South African normal tax rate		27,00%	27,00%
Non-deductible expense	1	-12,06%	-0,16%
Capital gains tax		-0,13%	0,00%
Assessed loss utilised		-16,06%	-13,48%
Deferred taxation not realised through income statement		-0,60%	-13,35%
Effective tax rate		**-1,86%**	**0,00%**

Deferred tax asset has been recognised only to the extent that the realisation thereof is probable.

Estimated Tax Losses

Unrecognised assessed losses	**(319 923)**	**276 992**

Note 1 Non-deductible expense are primarily consultant costs relating to the income generating structure.

	2025 R'000	2024 R'000
10. Property, Plant and Equipment		
10.1. Owned assets	103 445	146 829
10.2. Right-of-use assets	13 340	-
	116 785	**146 829**

10.1 Owned assets

	Plant and Equipment R'000	Vehicles R'000	Total R'000
Cost	359 292	9 438	**368 730**
Accumulated depreciation and impairment	(257 581)	(7 704)	**(265 285)**
Net book value as at 28 February 2025	**101 711**	**1 734**	**103 445**
	Movement reconciliation		
Balance as at 01 March 2024	**144 563**	**2 266**	**146 829**
Movement during the year		8 304	
Group transfers (net of in and out)	(910)	(107)	**(1 017)**
- Cost	(2 366)	(397)	**(2 763)**
- Accumulated depreciation	1 456	290	**1 746**
Additions	-	-	**-**
Disposals	(11 383)	(425)	**(11 808)**
- Cost	(36 763)	(737)	**(37 500)**
- Accumulated depreciation	25 380	312	**25 692**
Depreciation	(17 510)	-	**(17 510)**
Impairments	(13 049)	-	**(13 049)**
Balance as at 28 February 2025	**101 711**	**1 734**	**103 445**
Cost	398 421	10 572	**408 993**
Accumulated depreciation and impairment	(253 858)	(8 306)	**(262 164)**
Net book value as at 29 February 2024	**144 563**	**2 266**	**146 829**
	Movement reconciliation		
Balance as at 01 March 2023	**164 335**	**2 660**	**166 995**
Movement during the year			
Group transfers (net of in and out)	(4 778)	-	**(4 778)**
- Cost	(8 351)	-	**(8 351)**
- Accumulated depreciation	3 573	-	**3 573**
Additions	6 826	-	**6 826**
Disposals	(3 200)	(230)	**(3 430)**
- Cost	(10 345)	(820)	**(11 165)**
- Accumulated depreciation	7 145	590	**7 735**
Depreciation	(18 620)	(164)	**(18 784)**
Balance as at 29 February 2024	**144 563**	**2 266**	**146 829**

10. Property, Plant and Equipment *(continued)*

10.2. Right-of-use of assets

Property, plant and equipment includes right-of-use of assets on leased assets in accordance with IFRS 16.

	Plant and Equipment R'000	Vehicles R'000	Total R'000
Cost	20 181	-	**20 181**
Accumulated depreciation and impairment	(6 841)	-	**(6 841)**
Net book value as at 28 February 2025	**13 340**	**-**	**13 340**
	Movement reconciliation		
Balance as at 01 March 2024	**-**	**-**	**-**
Movement during the year			
Additions	20 181	-	**20 181**
Depreciation	(3 242)	-	**(3 242)**
Impairments	(3 599)		**(3 599)**
Balance as at 28 February 2025	**13 340**	**-**	**13 340**

Property, plant and equipment is owned and encumbered amounted to: R4.4 m (2024: R28.7 m)

There are fully depreciated assets that are still in use with a cost amounting to: R4.3 m (FY24: R4.4 m)
There are fully depreciated assets that are idle amounting to R9.7 m (FY24: R1.6 m)

During the financial year, the entity recognised an impairment loss of R3.6 m on its property, plant, and equipment (PPE), primarily comprising plants and machinery, determined using the fair value less costs to sell (FVLCS) method, with the valuation technique based on the cost approach (current replacement cost adjusted for obsolescence and disposal costs), which is a level 3 fair value hierarchy.

	2025 R'000	2024 R'000
11. Deferred Taxation		
Reconciliation of net deferred tax asset		
Balance at the beginning of the year	-	-
Current year charge through profit or loss	-	-
	-	-

	Capital allowances	Provisions, accruals and retentions	Assessed tax losses	Other	Total
	R'000	R'000		R'000	R'000
Opening balance as at 01 March 2023	(40 225)	2 202	38 023	-	-
Current year charge through profit or loss	4 809	14 595	(19 404)	-	-
Balance as at 29 February 2024	(35 417)	16 797	18 619	-	-
Current year charge through profit or loss	5 942	10 222	(16 164)	-	-
Balance as at 28 February 2025	(29 475)	27 019	2 456	-	-

Recoverability of deferred tax asset

Deferred tax assets on assessed losses have been recognised only to the extent that realisation thereof is probable. Management reviewed the approved business plan taking into account the order book to determine the recoverability of the deferred tax asset balance.

12. Inventories	2025 R'000	2024 R'000
Consumable stores	252	787
Total Inventories	252	787

	2025 R'000	2024 R'000
13.1. Amount due from Contract Customers		
Under billing on contracts in progress	2 385	8 215
Advanced receipts on under billed contracts in progress	-	-
	2 385	**8 215**

Under billing on contracts in progress relates to the Company's right to consideration for work completed but not yet invoiced at the reporting date for construction service rendered.

Amounts due from contract customers are disclosed based on the net position per contract after taking into account underclaims, overclaims, overstated and prepaid costs (MOS), and advance payments.

For further detail around contract balance, please refer to note 4.2.

13.2 Amount due to Contract Customers	2025 R'000	2024 R'000
Excess billing (overclaims)	834	-
Advanced receipts on excess billed over work done	-	-
	834	**-**

Where payment is received for excess billings arising from the measure of progress in respect of construction work yet to be performed, the revenue attributed thereto is not recognised but accounted for as a contract liability. Advance payments received from customers are also included in contract liabilities. Contract liabilities are released to revenue as and when the associated performance obligations are satisfied.

Amounts due to contract customers are disclosed based on the net position per contract after taking into account underclaims, overclaims, overstated and prepaid costs (MOS), and advance payments.

For further detail around contract balance, please refer to note 4.2.

	Notes	2025 R'000	2024 R'000
14. Receivables			
14.1. *Contract and Retention Receivables*			
Contract receivables	1	27 906	33 634
Retention receivables	2	-	-
Allowances for expected credit losses	3	(20 720)	(6 162)
Total contract and retention receivables	4	**7 186**	**27 472**

Notes regarding Contract and Retention Receivables

Note 1 The age analysis relating to contract receivables, retentions and allowances is presented below.

Note 2 Retention debtors relate to amounts invoiced but not receivable until the conditions specified in the contract are fulfilled or until defects have been rectified. The retention debtors are only due and payable once a contract is completed and all obligations are met. Due to the nature of retention debtors, they have been allocated a low probability of default in the ECL provision matrix.

Note 3 A reconciliation of the movement of the allowances for expected credit losses on contract debtor receivables are set out below.

Note 4 No receivables were written off during the year (2024: nil).

Contract and Retention Receivables Aging Analysis as at 28 February 2025

Days outstanding	Gross Contract Debtor	Gross Retention Debtor	Expected Credit Loss Ratio	Expected Credit Losses	Estimated Net Carrying Amount
< 30 days	11 299	-	37%	(4 187)	7 112
31 - 60 days	3 779	-	100%	(3 779)	-
61 - 90 days	4 447	-	100%	(4 447)	-
91 - 365 days	8 381	-	99%	(8 307)	74
>365 days	-	-	0%	-	-
	27 906	**-**	**74%**	**(20 720)**	**7 186**

Contract and Retention Receivables Aging Analysis as at 29 February 2024

Days outstanding					
< 30 days	9 999	-	0%	(18)	9 981
31 - 60 days	22	-	0%	-	22
61 - 90 days	9 049	-	2%	(156)	8 893
91 - 365 days	14 564	-	41%	(5 988)	8 576
>365 days	-	-	0%	-	-
	33 634	**-**	**18%**	**(6 162)**	**27 472**

14. Receivables *(continued)*

14.1. *Contract and Retention Receivables* *(continued)*

Reconciliation of allowance for expected credit losses:	2025 R'000	2024 R'000
Opening Balance	(6 162)	(30)
Reversal for the year	6 162	30
Raised during the year	(20 720)	(6 162)
Closing Balance	**(20 720)**	**(6 162)**

14.2. *Trade and Other Receivables*		2025 R'000	2024 R'000
Trade receivables		18 969	9 426
Allowances for expected credit losses		(3 950)	(2 515)
		15 019	**6 911**
Total other receivables		**4 986**	**4 814**
- Sundry receivables		2 355	2 359
- Amount owed by unincorporated joint operations		2 631	2 455
Financial assets		**20 006**	**11 725**
VAT receivables	1	-	-
Pre-payments	2	-	771
Non-financial assets		**-**	**771**
Total Trade and Other Receivables	3	**20 006**	**12 496**

Notes regarding Trade and Other Receivables

Note 1 VAT receivable will be settled within one month.

Note 2 100% (2024:100%) of pre-payments will be recycled to profit or loss over the next 12 months.

Note 3 The maximum exposure to credit risk in relation to trade and other receivables. Details in respect of the Company's credit risk management policies are set out in note 21.

14. Receivables *(continued)*

14.2. *Trade and Other Receivables* (continued)

Trade Receivables Aging Analysis as at 28 February 2025

Days outstanding	Gross Trade Debtors	Expected Credit Loss Ratio	Expected Credit Losses	Estimated Net Carrying Amount
< 30 days	3 068	3%	(87)	2 981
31 - 60 days	842	57%	(483)	359
61 - 90 days	5 391	5%	(289)	5 102
91 - 365 days	9 329	9%	(839)	8 490
>365 days	3 019	75%	(2 252)	767
	21 648	**18%**	**(3 950)**	**17 698**

Trade Receivables Aging Analysis as at 29 February 2024

Days outstanding				
< 30 days	1 767	0%	-	1 767
31 - 60 days	-	0%	-	-
61 - 90 days	414	0%	-	414
91 - 365 days	7 246	35%	(2 516)	4 730
>365 days	-	0%	-	-
	9 427	**27%**	**(2 516)**	**6 911**

Reconciliation of allowance for expected credit losses:	**2025 R'000**	**2024 R'000**
Opening Balance	(2 516)	(2 516)
Raised during the year	(3 950)	-
Reversal for the year	2 516	-
Closing Balance	**(3 950)**	**(2 516)**

	2025 R'000	2024 R'000
15. Cash and Cash Equivalents		
Cash at banks	1 138	739
Petty cash	46	23
	1 184	**762**

Bank and cash balances of R1.3 m (2024: R0.4m) are held in unincorporated joint operations.

16. Share Capital and Share Premium		
Ordinary Shares		
Authorised		
25,000 (2024: 25,000) ordinary shares	25	25
Issued		
17,000 (2024:17,000) ordinary shares	50 012	50 012
Share premium	197 976	197 976
	247 988	**247 988**

There were no changes in the authorised share capital or issued share capital during the year.

Preference Shares		
Authorised and issues		
30 "A" cumulative redeemable preference shares at R1 each *	-	-
Authorised and issues		
70 "B" cumulative redeemable preference shares at R1 each *	-	-
Total issued share capital and share premium	**247 988**	**247 988**

**Amounts are below R1,000*

		Notes	2025 R'000	2024 R'000
17.	**Trade and Other Payables**			
	Trade payables		47 366	47 702
	Sundry payables		33 601	15 985
	Goods received notes		973	837
	Unincorporated operations		-	7 635
			-	**592**
	Current payables		-	592
	Accruals		-	-
	Retentions		-	-
	Accrued expense		**16 281**	13 960
	Audit related fees (External, internal and ISO)		1 600	1 600
	Other accruals		14 681	12 360
	Financial liabilities		**98 221**	**86 711**
	Payroll related payables		**5 368**	**7 882**
	Leave accrual	1	3 905	5 934
	Bonus accrual		287	317
	Statutory: payroll related		1 176	1 631
	Long term service awards		-	-
	VAT payable		1 868	2 636
	Advance receipts		-	-
	Non-financial liabilities		**7 236**	**10 518**
	Total Trade and Other payables		**105 457**	**97 229**

Notes regarding Trade and Other Payables

Note 1 In terms of the Company policy, employees are entitled to accumulated leave benefits not taken within a leave cycle, up to a maximum of three times the employee's annual leave allocation, limited to a maximum of 30 days. The obligation is reviewed annually. The timing of the cash flow, if any, is uncertain.

Note 2 VAT payable will be paid within one month.

18. Interest Bearing Borrowings

	Current		Non-Current		Total	
	2025 R'000	2024 R'000	2025 R'000	2024 R'000	2025 R'000	2024 R'000
Instalment sale agreement	1 334	5 708	-	1 514	**1 334**	**7 222**
Finance lease liability	6 041	-	7 046	-	**13 087**	**-**
Total Interest Bearing Borrowings	**7 375**	**5 708**	**7 046**	**1 514**	**14 421**	**7 222**

18.1. Reconciliation of Interest Bearing Borrowings

	Finance lease liability		Instalment sale agreement		Total	
	2025 R'000	2024 R'000	2025 R'000	2024 R'000	2025 R'000	2024 R'000
Balance as at beginning of year	-	-	7 222	22 968	7 222	22 968
Proceeds borrowings raised	17 218	-	-	4 113	17 218	4 113
Interest accrued	1 257	-	556	1 504	1 813	1 504
Interest paid	(1 257)	-	8 304	(1 504)	7 047	(1 504)
Repayments of borrowings	(4 131)	-	(5 888)	(19 859)	(10 019)	(19 859)
Balance as at end of the year	**13 087**	**-**	**10 195**	**7 222**	**23 282**	**7 222**

Notes regarding Interest Bearing Borrowings

Note 1 - Instalment sales agreements

The instalment sale liabilities are secured by plant and equipment with a carrying amount of R4.4 m (2024: R28.7 m).

There were no outstanding amount to Standard Bank and Nedbank as at 28 February 2025, therefore covenants we not applicable for the entity. Refer to note 21.3 for further detail.

18.2. Instalment Sale Agreements

	Present value of minimum payments R'000	Present value of future finance charges R'000	Future minimum instalment payable R'000
February 2025			
Minimum instalment sale payables due			
Less than one year	1 334	111	**1 445**
Later than one year but not later than five years	-	-	**-**
	1 334	111	**1 445**
February 2024			
Minimum instalment sale payables due			
Less than one year	5 708	519	**6 227**
Later than one year but not later than five years	1 514	111	**1 625**
	7 222	630	**7 852**

18. Interest Bearing Borrowings *(continued)*

18.3. Finance Lease Liability

	Present value of minimum payments R'000	Present value of future finance charges R'000	Future minimum instalment payable R'000
February 2025			
Minimum instalment sale payables due			
Less than one year	6 041	1 155	**7 196**
Later than one year but not later than five years	7 046	333	**7 379**
	13 087	1 488	**14 575**

18.4. Terms and Conditions

-

Terms and conditions	*Lease liability*	*Instalment sale agreement*
Period	3 years	2 years
Remaining period to maturity	2 years	1 year
Rate	Between 9% - 11.75%	Between 9% - 11.75%
Frequency of payment	Monthly	Monthly

-

	Notes	2025 R'000	2024 R'000
19. Amounts due by / (to) Group Companies			
Summary of Group Loans:			
Receivables		**67 516**	**60 090**
Concor Holdings (Pty) Ltd (Parent company)	*19.1*	1 929	1 929
Concor Construction (Pty) Ltd	*19.4*	35 063	36 114
Waterberg Mining (Pty) Ltd	*19.4*	135 090	121 907
Allowances for expected credit losses:	*19.6*	(104 566)	(99 860)
Payables		**(306 567)**	**(299 915)**
Concor (Pty) Ltd	*19.2*	(1 929)	(1 929)
Concor Construction (Pty) Ltd	*19.3*	(304 638)	(297 986)

19.1. Amount due by Parent Company		
Concor Holdings (Pty) Ltd (Parent company)	1 929	1 929
- Allowance for ECL of Concor Holdings (Pty) Ltd receivable	-	(1 929)
	1 929	**-**
Current	1 929	-

Note regarding impairment of Concor Holdings (Pty) Ltd receivable

The Concor Holdings (Pty) Ltd receivable was impaired due to risk around recoverability of the amount. Subsequent to the impairment, the restructuring of the Concor Holdings (Pty) Ltd balance sheet was approved, once implemented, reversal of the impairment has been considered

	2025 R'000	2024 R'000
19.2. Amounts due to Holding Company		
Concor (Pty) Ltd	(1 929)	(1 929)
Current	(1 929)	(1 929)
19.3. Amounts due by Fellow Subsidiaries		
Concor Construction (Pty) Ltd	(304 638)	(297 986)
Non-current	(304 638)	(297 986)

	2025 R'000	2024 R'000
19. Amounts due by / (to) Group Companies *(continued)*		
19.4. Amounts due by Fellow Subsidiary and Group Associate		
Concor Construction (Pty) Ltd	35 063	36 114
- Allowance for ECL of Concor Construction (Pty) Ltd receivable	(600)	(600)
Waterberg Mining (Pty) Ltd	135 090	121 907
- Allowance for ECL of Waterberg Mining (Pty) Ltd receivable	(103 966)	(97 331)
	65 587	**60 906**

Note regarding impairment of Concor Construction (Pty) Ltd and Waterberg Mining (Pty) Ltd receivable

The Concor Construction (Pty) Ltd allowance is treated as stage one.

The Waterberg Mining (Pty) Ltd receivable was impaired due to risk around recoverability of the amount resulting from the termination of the contract that entity was involved in. This is treated as a stage 3 ECL.

19.5. Terms and Conditions

Amount due by Parent and Holding Company

Companies	Maturity date	Security	Rate	Frequency of payment
Concor (Pty) Ltd (Holding company)	None	Unsecured	Interest-free	None
Concor Holdings (Pty) Ltd (Parent company)	None	Unsecured	Interest-free	None

Amount due to Fellow Subsidiaries

Company	Maturity date	Security	Rate	Frequency of payment
Concor Construction (Pty) Ltd	28-Feb-27	Unsecured	Interest-free	At maturity date

Amounts due by Fellow Subsidiary and Group Associate

Company	Maturity date	Security	Rate	Frequency of payment
Concor Construction (Pty) Ltd	28-Feb-26	Unsecured	Interest-free	At maturity date
Waterberg (Pty) Ltd	28-Feb-26	Unsecured	Prime +2	At maturity date

Nedbank's right to intercompany loans.

All intercompany loans between Concor Holdings (Pty) Ltd, Concor (Pty) Ltd, Concor Mining Services (Pty) Ltd, Concor Construction (Pty) Ltd, Concor Namibia (Pty) Ltd, Concor Botswana (Pty) Ltd and Dynamic Concrete (Pty) Ltd have been pledged, in securitatem debiti, in favour of Nedbank Limited for general banking facilities that includes instalment sale agreements and guarantees.

19. Amounts due by / (to) Group Companies *(continued)*

19.6. Reconciliation of allowances for expected credit losses on group loan receivable:

The below tables shows reconciliations of the opening to closing balances of the allowance group loans. The basis for determining transfers due to changes in credit risk is set out in the accounting policy.

Loans	for the year ended 28 February 2025			
	Stage 1	Stage 2	Stage 3	Total
Opening Balance 1 March	**(600)**	**(1 929)**	**(97 331)**	**(99 860)**
Transferred to Stage 2	-	-	-	-
Transferred to Stage 3	-	-	-	-
Raised during the year	-	-	(6 635)	(6 635)
Reversal for the year	-	1 929	-	1 929
Closing Balance 28 February	**(600)**	**-**	**(103 966)**	**(104 566)**

Loans	for the year ended 29 February 2024			
	Stage 1	Stage 2	Stage 3	Total
Opening Balance 1 March	**(600)**	**(1 929)**	**-**	**(2 529)**
Transferred to Stage 2	-	-	-	-
Transferred to Stage 3	-	-	-	-
Raised during the year	-	-	(97 331)	(97 331)
Reversal for the year	-	-	-	-
Closing Balance 29 February	**(600)**	**(1 929)**	**(97 331)**	**(99 860)**

	2025 R'000	2024 R'000
20. Statement of Cash Flow Notes		
20.1 Interest Received		
Finance income *(note 7)*	156	146
20.2 Interest Paid		
Finance costs *(note 8)*	(1 997)	(1 802)
20.3. Cash utilised by Operations		
Operating (loss) / profit	(66 962)	(130 607)
Non-cash adjustments		
Depreciation	20 752	18 784
Impairments	13 049	-
Allowance for expected credit losses	20 699	105 462
Settlement discount	-	2
Loss on disposal of property, plant and equipment	1 186	1 885
Contract provision	3 697	-
Forex	12 633	-
Other (intercompany reversal)	(1 651)	-
	3 402	**(4 474)**
Movement in working capital		
Inventory	535	(537)
Amounts due to / from contract customers	6 665	4 085
Contract, trade and other receivables	(3 041)	(68 690)
Trade and other payables	8 051	2 905
Cash utilised by Operations	**15 612**	**(66 710)**
20.4. Net advances received / (made) from (to) group companies		
Opening balance per balance sheet - *(notes 19.3)*	(297 986)	(199 635)
None cash adjustments		
Asset transfers to group companies - *(note 10.1)*	1 017	4 778
Other adjustments (reversal)	1 652	-
Closing balance per balance sheet - *(notes 19.3)*	304 638	297 986
Advances received	**9 321**	**103 129**

21. Financial Risk Management Objectives, Policies and Fair Value

The Company's activities expose it to a variety of financial risks: market risk (include interest rate risk and price risk), credit risk and liquidity risk. The Company's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the Company's financial performance.

Risk management is carried out by management. This function identifies, evaluates and, analyse the risk faced by the company, to set appropriate risk limits and controls, and to monitor risks and adherence to limits.

The Company used the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique:

Financial Instrument	Classification per IFRS 9	Notes	2025 R'000	2024 R'000
Assets				
Amounts due by group companies:	Amortised cost	1	67 516	60 690
- fellow subsidiaries			65 587	60 690
- parent company			1 929	-
Amounts due from contract customers	Amortised cost	1	2 385	8 215
Contract and retention receivables	Amortised cost	1	7 186	27 472
Trade and other receivables	Amortised cost	1	20 006	11 725
Cash and cash equivalents	Amortised cost	1	1 184	762
Liabilities				
Amount due to contract customers	Amortised cost	1	(834)	-
Trade and other payables	Amortised cost	1	(98 221)	(86 711)
Amount due to fellow subsidiaries	Amortised cost	2	(304 638)	(297 986)
Amounts due to holding company	Amortised cost	1	(1 929)	(1 929)
Interest bearing borrowings	Amortised cost	1	(14 421)	(7 222)

Note regarding fair value hierarchy

1 The carrying value approximates fair value due to their nature.

2 Level 3 inputs are used to determine the fair value.

Inputs used to determine the fair value are presented below:

21. Financial Risk Management Objectives, Policies and Fair Value *(continued)*

Fair value hierarchy of financial instruments *(continued)*

Company	Fair value 2025	Fair value 2024
Concor Construction (Pty) Ltd	(304 638)	(297 986)

The fair value as at 28 February 2025 and 29 February 2024 was determined using a discounted cash-flow analysis using the significant unobservable valuation inputs, as provided below:

	2025	2024
Discount rate	11,75%	11,75%
Discount period	3	3
Risk adjustment	0,50%	0,50%

An increase (decrease) in the discount rate and risk adjustment by 1.00% would result in a decrease (increase) of the fair value of the group loans by:

	2025 R'000	2024 R'000
Discount rate adjustment	7 400	10 842
Risk rate adjustment	4 974	8 508

21.1. Capital Risk Management

For the purpose of the Company's capital management, capital includes issued capital, convertible preference shares, share premium and all other equity reserves attributable to the equity holders of the parent. The primary objective of the Company's capital management is to maximise the shareholder value.

The Company manages its capital structure and makes adjustments in light of changes in economic conditions and the requirements of the financial covenants. To maintain or adjust the capital structure, the Company may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares. The Company monitors capital using a gearing ratio, which is 'gross debt' divided by total equity. The group's covenant is to keep the gearing ratio below 60%. The Company includes within gross debt, the aggregate of moneys borrowed (short and long-term), including but not restricted to:

Any accommodation negotiable instrument, instalment sale agreements, finance and operating lease commitments, group loans whether interest free or not, any bond and any other debt instrument in issue.

	2025 R'000	2024 R'000
Gross Debt (at a Concor (Pty) Ltd group level)	(194 409)	(224 787)
Total Equity (at a Concor (Pty) Ltd group level)	(43 490)	355 181
Gearing ratio	-447%	63%
Required ratio	60%	60%

Based on the above the gearing covenant has not been met for the year ending 28 February 2025 and neither 29 February 2024. Significant changes relates to the loss in the current financial year.

No changes were made in the objectives, policies or processes for managing capital during the year.

21. Financial Risk Management Objectives, Policies and Fair Value *(continued)*

21.2. Credit Risk

Financial assets of the Company which are subject to credit risk consist mainly of cash resources and trade/contract receivables. The Company's exposure to credit risk arises from default of the counterparty, with a maximum exposure equal to the carrying amount of these instruments:

	2025 R'000	2024 R'000
Contract and retention receivables	7 186	27 472
Amounts due from contract customers	2 385	8 215
Trade and other receivables	20 006	11 725
Amount due by fellow subsidiary	65 587	60 690
Cash and cash equivalents	1 184	762
	96 348	**108 864**

Contract and retention receivables (continued)

Where available, the Company utilises the independent credit ratings of customers when assessing their creditworthiness. If customers are independently rated, these ratings are used. Where no independent rating is available, the risk committee assesses the credit quality of the customer, taking into account its financial position, past experience and other factors. In cases where the risk committee deems the risk level to be unacceptable, a payment guarantee from these customers are insisted upon.

The demographics of the company's customer base, including the default risk of the industry and country, in which customers operate, has less of an influence on credit risk. There is no concentration of credit risk in a single customer.

The Company's customers are concentrated in South Africa and the majority of the Company's customers are concentrated in the private sector rather than public sectors. The Company's agreed receivable payment terms ranges between 30 to 60 days, with substantially all of the Company's debtors being non - interest bearing.

Below is a split of contract debtors and retentions according to sector:

2025	Contract debtors R'000	Retentions R'000
Public sector	-	-
Private sector	27 906	-
	27 906	**-**
2024		
Public sector	3 327	-
Private sector	30 307	-
	33 634	**-**

Expected credit losses on contract and retention receivables

For contract and retention receivables, the Company applies a simplified approach (IFRS 9 paragraph 5.5.15) in calculating expected credit losses. Therefore, the Company does not track changes in credit risk, but instead recognises a loss allowance based on lifetime expected credit losses at each reporting date. The Company has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

21. Financial Risk Management Objectives, Policies and Fair Value *(continued)*

21.2. Credit Risk *(continued)*

Expected credit losses on contract and retention receivables (continued)

The Company considers a financial asset in default when contractual payments are past due for more than a year and not subject to enforcement activity. However, in certain cases, the Company may also consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full, before taking into account any credit enhancements held by the Company. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

Quantification of expected credit losses

A fair value analysis is performed at each reporting date using a provision matrix to measure expected credit losses. The provision rates are based on days past due for groupings of various customer segments with similar loss patterns. The calculation reflects the probability-weighted outcome, the time value of money and reasonable and supportable information that is available at the reporting date about past events, current conditions and forecasts of future economic conditions.

Below is a reconciliation of the expected credit loss allowance per operating division:

Operating divisions	**28-Feb-25 R'000**	**29-Feb-24 R'000**
Open cast mining	(20 720)	(6 162)
	(20 720)	**(6 162)**
Public sector	-	-
Private sector	(20 720)	(6 162)

Contract and retention receivables (continued)

At year end management believed that any material credit risk exposure was covered by ECL provisions raised for contract debtors and retentions.

Amount due from contract customers - Contract assets (Financial assets that not past due, nor impaired)

Amount due from contract customers includes timing differences between measured work performed but not yet certified and invoiced, pending sign-off from clients' quantity surveyors. Revenue is recognised based on measured work performed. Any work measured but not yet certified is treated as work in progress (contract assets), until such time as it is certified and invoiced. Once invoiced, the balance is reclassified to contract receivables.

There were no impairment losses recognised on contract assets during the years ended 28 February 2025 and 29 February 2024.

Refer to note 4.2 regarding impairment considerations on contract assets.

Bank Balances (inclusive of escrow accounts)

All cash reserves are placed with reputable financial institutions with credit ratings of BB- Stable, based on the Fitch Ratings, which is an estimated Probability of Default (“PD”) of zero.

21. Financial Risk Management Objectives, Policies and Fair Value *(continued)*

21.2. Credit Risk *(continued)*

Amount due by group companies

Provision for expected credit losses of group loan	28-Feb-25 R'000	29-Feb-24 R'000
Waterberg Mining (Pty) Ltd	(103 966)	(97 331)
Concor Construction (Pty) Ltd	(600)	(600)
	(104 566)	**(97 931)**

For policy, inputs, assumptions and method use in estimating the ECL provision, refer to note 1.1.13 in the material accounting policies and note 3 regarding assumptions and estimates. Note 19.6 provides a reconciliation of allowances in the various stages.

Determining a significant increase in credit risk

Management determines the credit risk internally based on solvency and liquidity ratios, including the group company's ability to meet its contractual cash flows (current and future), and ongoing support by the lending group company. Consideration is given to the financial performance of the group entity and its orderbook.

A significant change in the above is deemed to be indicative of an significant increase in credit risk.

21. FINANCIAL RISK MANAGEMENT OBJECTIVES, POLICIES AND FAIR VALUE *(continued)*

21.3. Liquidity Risk

Liquidity risk is the risk that the Company will not be able to meet its financial obligations as they fall due. The company's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Company's reputation. Further funding is provided by its holding company or fellow subsidiary companies via interest free loans.

Bank and cash balances of R1.3 m (2024: R0.4m) are held in unincorporated joint operations.

The Company's cash and cash equivalents at 28 February 2025 amount to R1.18 m (2024: R0.76 m).

Facilities

The Company's current asset based lending facilities are with Nedbank Limited, The Standard Bank of South Africa Limited, ABSA Limited, Volvo Financial Services Southern Africa (Pty) Ltd and Barloworld. The Company's current utilisation of these facilities amount to R1.33 m as at 29 February 2024 (2024: R7.22 m).

The Company has various guarantee facilities and the issuance of guarantees are currently being assessed on a case by case basis by the various guarantee providers. As at 28 February 2025, the total utilisation of guarantee facilities amount to R49.0 m (2024: R11.0)

The following material financial covenants have been imposed as part of the Company's facilities above:

The Standard Bank of South Africa Limited:

1. Concor (Pty) Ltd group cash balance > R100 m
2. Concor (Pty) Ltd group ratio of available cash flow before debt service to all principal and interest debt service payments not less than 1.10 times
3. Concor (Pty) Ltd group ratio of debt to equity not more than 60%

The covenant as detailed in 3) above were not met by the Concor (Pty) Ltd Group.

Nedbank Limited:

Free Cash Balance > R150 m: Free cash is calculated as cash in bank in the name of the Concor (Pty) Ltd group to which it is alone beneficially entitled less amounts due to contract customers and/or amounts received in excess of work completed. The cash should have no security over it and should be repayable on demand.

At year-end the Concor (Pty) Ltd Group has no outstanding amounts relating to this facility, therefore making the covenant not applicable.

21. FINANCIAL RISK MANAGEMENT OBJECTIVES, POLICIES AND FAIR VALUE *(continued)*

21.3. Liquidity Risk *(continued)*

The table below analyses the company's financial liabilities into relevant maturity groupings based on the remaining period at the statement of financial position date to the contractual maturity date. The amounts disclosed in the table are the contractual undiscounted cash flows, including interest repayments. Balances due within 12 months equal their carrying balances as the impact of discounting is not significant.

Non-derivative liabilities	Carrying amount R'000	Contractual cash flows R'000	1 Year R'000	2 to 5 years R'000
At 28 February 2025				
Trade and other payables	(98 221)	(98 221)	(98 221)	-
Amounts due by fellow subsidiaries	(304 638)	(425 134)	-	(425 134)
Amounts due to holding company	(1 929)	(1 929)	(1 929)	-
Interest-bearing borrowings	(1 334)	(1 445)	(1 445)	-
	(406 122)	**(526 729)**	**(101 595)**	**(425 134)**
At 29 February 2024				
Trade and other payables	(86 711)	(86 711)	(86 711)	-
Amounts due to fellow subsidiaries	(297 986)	(415 852)	-	(415 852)
Amounts due to holding company	(1 929)	(1 929)	(1 929)	-
Interest-bearing borrowings	(7 222)	(7 852)	(6 227)	(1 625)
	(393 848)	**(512 343)**	**(94 867)**	**(417 477)**

21.4. Market Risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises two types of risk: interest rate risk and currency risk. Financial instruments affected by market risk include loans and borrowings, deposits, debt and equity investments. The Company is primarily exposed to interest rate risks.

Interest Rate Risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate due to the changes in the market interest rates. The Company's interest rate risk arises primarily from long-term borrowings. Borrowings issued at variable rates expose the Company to interest rate risk. The Company maintains its borrowings at variable interest rates. No financial instruments are entered into to mitigate the risk of interest rates.

The following table demonstrates the sensitivity to a reasonable possible change in interest rate, with all other variables held constant, of profit before taxation:

	% change	Profit or loss increase / decrease R'000	Effect on Equity R'000
2025 Variable rate instrument	1 / (1)	12 / (12)	12 / (12)
2024 Variable rate instrument	1 / (1)	65 / (65)	65 / (65)

22. Related Parties

The Company is fully owned by Concor (Pty) Ltd (holding company) and the ultimate holding company is Concor Holdings (Pty) Ltd (parent company) which fully owns Concor (Pty) Ltd. Concor group operates under the "Concor" name and brand.

22.1. Related Party Transactions

		Profit & Loss effects		Balance Sheet effect	
		Income	*Expense*	*Receivable*	*Payable*
		R'000	R'000	R'000	R'000
February 2025	*Notes*				
Concor Holdings (Pty) Ltd	*1*	1 929	-	1 929	-
Concor (Pty) Ltd		-	11 639	-	(1 929)
Concor Construction (Pty) Ltd		-	(4 439)	34 463	(304 638)
Waterberg Mining (Pty) Ltd		-	(6 635)	31 124	-
		1 929	**565**	**67 516**	**(306 567)**
February 2024					
Concor Holdings (Pty) Ltd		-	-	-	-
Concor (Pty) Ltd		-	-	-	(1 929)
Concor Construction (Pty) Ltd		2 349	(3 108)	35 514	(297 986)
Waterberg Mining (Pty) Ltd		78 451	(97 331)	24 576	-
		80 801	**(100 439)**	**60 090**	**(299 915)**

For key management personnel disclosure, refer to directors and prescribe officers emoluments in note 28.

A detailed group structure has been provided as supplementary information in the annexures. Refer to the index for the page number.

23. Subsequent Events

The Moatize project was terminated after year-end.

There have been no other material events requiring disclosure in the annual financial statements subsequent to 28 February 2025.

24. Contingent Liabilities, Guarantees and Capital Commitments

The Company is from time to time involved in various disputes, claims and legal proceedings arising in the ordinary course of business. The Company does not account for any potential contingent liabilities where a back to back arrangement exists with the clients or sub-contractors and there is a legal right to offset.

If after consultation with its legal advisors and counsel, the Company believes the claims are based on weak grounds, and the company has strong defences, no provision is made for any such claim, and they are aggregated and disclosed as contingent liabilities.

The board does not believe that any further adverse decisions in any pending proceedings or claims against the Company will have a material adverse effect on the financial condition or future of the Company.

Guarantees

	2025 R'000	2024 R'000
Financial institution guarantees issued to third parties	49 050	11 000
Financial institution guarantees issued to third parties by equity accounted investees and joint arrangements	-	-
	49 050	**11 000**

It is the opinion of the directors that the possibility of any loss relating to the guarantees in issue is improbable and it is not anticipated that any material liabilities will arise.

The Company has cross guaranteed the obligations of group companies for facilities entered into by these companies with financial institutions.

25. Consolidating Parent Entity

The Company's results are consolidated in the accounts of Concor Proprietary Limited, a Company incorporated in South Africa. Copies of the above accounts can be obtained from the Company Secretary, 2 Arbroath Rd. Bedfordview, Germiston, 2008.

26. Going Concern

In determining the appropriate basis of preparation of the financial statements, the directors are required to consider whether the company can continue in operational existence for the foreseeable future. In order to ensure the future sustainability, management has prepared a revised budget, revenue and cash flow forecasts covering a minimum of 12 months post financial statement approval date. The Company has secured an order book of R166 m (2024: R379 m) with an embedded margin of 10.0% (FY24: 10.4%)

During the 2025 financial year, the Company reported a loss after tax of R70.08 m, compared to the prior year (2024: R132.3 m). This improvement in the loss was driven lower expected credit loss allowances on intercompany receivables for Waterberg (Pty) Ltd being R6.6 m in the current period and R97 m in the prior period. Other once off items included in the loss is impairments on assets of R16.6m. The Company's total liabilities exceed total assets by R217 m (2024: R148 m) and current liabilities exceed current assets by R23 m, compared to 2024 when current assets exceeded current liabilities by R5 m. The Company's operations are capital intensive and there is a substantial balance of the borrowings being payable within the next 12 months from the reporting date. As a result, the liquidity has been adversely affected. Strict daily cash management processes remain critical within the Company and management is continuing with its efforts to improve working capital.

The Company believes it remains commercially solvent and therefore continues to adopt the going concern basis in preparing the financial statements. However, material uncertainties still remain that may cast doubt on the entity's ability to continue as a going concern in the short term given the net liability position. The Group is continuing with its efforts to improve liquidity and has instituted a liquidity optimisation committee that focusses on the conservation, generation and liberation of cash and ensuring that debt is serviced as it becomes due.

Based on the events and conditions described above, management is of the opinion that the Company will continue as a going concern for the foreseeable future.

27. Provisions

	Opening Balance	Additional provisions raised	Utilised / reversed during the year	Closing balance
Contract-related provisions	(761)	(4 458)	761	(4 458)
Closing balance	**(761)**	**(4 458)**	**761**	**(4 458)**

Provisions comprise of contract related provisions (including onerous contracts). Outflows, if any, is expected to materialise within 12 months after year-end.

28. Directors' and Prescribe Officers' Emoluments

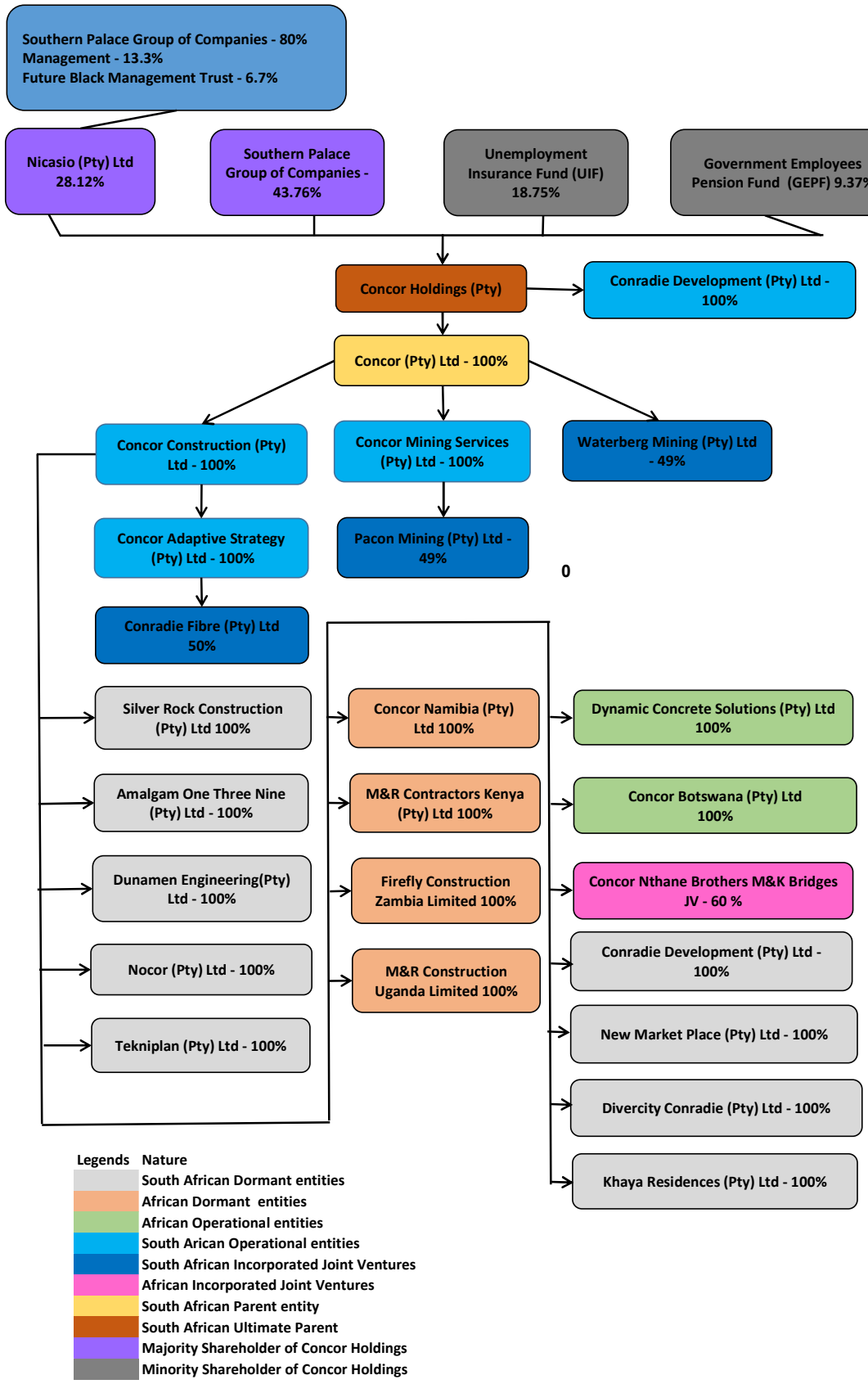
Remuneration paid / payable to directors and prescribed officers are as follows:

	Basic Remuneration	Retirement/ Medical benefits	Other Short-term Benefits	Total
		R'000	R'000	R'000
At 28 February 2025				
Directors				
	3 304	411	206	3 921
Prescribed Officers				
Masike, Jethro	2 598	146	115	2 860
van Staden, Claire *(Astute) (resigned 31 March 2024)*	226	-	-	226
Du Preez, Hendrik	2 403	327	211	2 941
Govender, Jerome	5 427	160	118	5 705
Magwentshu, Unathi	3 286	154	94	3 534
	17 244	**1 199**	**744**	**19 186**
At 29 February 2024				
Directors				
Matshiga, Mandla Wonder (resigned 30 July 2023)	1 452	45	172	1 669
Schoeman, Christoffel Frederik Jacobus	3 135	572	213	3 730
Mokulubete, Mafriti Queen (resigned 30 September 2023)	2 611	-	-	2 611
Prescribed Officers				
Gaeje, Enoch Matlhomola (resigned 31 August 2023)	1 277	57	242	1 576
Maepi, Rylen	1 354	57	73	1 484
Masike, Jethro	2 406	127	120	2 653
van Staden, Claire (Astute) (resigned 31 March 2024)	2 600	-	-	2 600
Du Preez, Hendrik	2 206	309	195	2 710
	17 040	**977**	**1 013**	**19 032**

The remuneration of the executive directors has been paid by the company on behalf of the services provided to Concor group as a whole. An accurate allocation of costs for services to fellow subsidiary, parent and holding company could not be performed and therefore the full remuneration was disclosed.

Definitions and Abbreviations

BLMEP	The Conradie Better Living Model Exemplar Project
Company website	www.concor.co.za
SNG Grant Thornton	Independent Auditors
IAS®	International Accounting Standards
IFRS®	IFRS Accounting Standards
IRBA	Independent Regulatory Board for Auditors
MRL	Murray & Roberts Limited
OCI	Other comprehensive income
Bank and cash balances of	South African Revenue Service
The Companies Act	The Companies Act 71 of 2008
VAT	Value added tax
SOE	State Owned Enterprise
ISO	International Organization for Standardization


Southern Palace Group of Companies - 80%
Management - 13.3%
Future Black Management Trust - 6.7%
Nicasio (Pty) Ltd 28.12%
Southern Palace Group of Companies - 43.76%
Unemployment Insurance Fund (UIF) 18.75%
Government Employees Pension Fund (GEPF) 9.37%
Concor Holdings (Pty)
Conradie Development (Pty) Ltd - 100%
Concor (Pty) Ltd - 100%
Concor Construction (Pty) Ltd - 100%
Concor Mining Services (Pty) Ltd - 100%
Waterberg Mining (Pty) Ltd - 49%
Concor Adaptive Strategy (Pty) Ltd - 100%
Pacon Mining (Pty) Ltd - 49%
0
Conradie Fibre (Pty) Ltd 50%
Silver Rock Construction (Pty) Ltd 100%
Amalgam One Three Nine (Pty) Ltd - 100%
Dunamen Engineering(Pty) Ltd - 100%
Nocor (Pty) Ltd - 100%
Tekniplan (Pty) Ltd - 100%
Concor Namibia (Pty) Ltd 100%
M&R Contractors Kenya (Pty) Ltd 100%
Firefly Construction Zambia Limited 100%
M&R Construction Uganda Limited 100%
Dynamic Concrete Solutions (Pty) Ltd 100%
Concor Botswana (Pty) Ltd 100%
Concor Nthane Brothers M&K Bridges JV - 60 %
Conradie Development (Pty) Ltd - 100%
New Market Place (Pty) Ltd - 100%
Divercity Conradie (Pty) Ltd - 100%
Khaya Residences (Pty) Ltd - 100%
Legends
Nature
South African Dormant entities
African Dormant entities
African Operational entities
South Arican Operational entities
South African Incorporated Joint Ventures
African Incorporated Joint Ventures
South African Parent entity
South African Ultimate Parent
Majority Shareholder of Concor Holdings
Minority Shareholder of Concor Holdings

Audit work

		Details as per GL			
CO	Account Description	Document Number	G/L Date	Business Unit Descriptio	Explanatior
14400	Contractual Revenue	1459	07/01/2024	Moatize Coal Project	Nsimbi Mini
14400	Contractual Revenue	1460	07/01/2024	Moatize Coal Project	Nsimbi Mini
14400	Contractual Revenue	1460	07/01/2024	Moatize Coal Project	Nsimbi Mini
14400	Contractual Revenue	1461	07/01/2024	Moatize Coal Project	Nsimbi Mini
14400	Contractual Revenue	1463	08/01/2024	Moatize Coal Project	Nsimbi Mini
14400	Contractual Revenue	1465	31/07/2024	Moatize Coal Project	Nsimbi Mini
14400	Contractual Revenue	1476	31/08/2024	Moatize Coal Project	Nsimbi Mini
14400	Contractual Revenue	1491	10/01/2024	Moatize Coal Project	Nsimbi Mini
14400	Contractual Revenue	1503	30/10/2024	Moatize Coal Project	Nsimbi Mini
14400	Contractual Revenue	1529	30/11/2024	Moatize Coal Project	Nsimbi Mini
14400	Contractual Revenue	1533	01/01/2025	Moatize Coal Project	Nsimbi Mini
14400	Contractual Revenue	1541	31/01/2025	Moatize Coal Project	Nsimbi Mini
14400	Contractual Revenue	1556	28/02/2025	Moatize Coal Project	Nsimbi Mini
14400	Contractual Revenue	1557	28/02/2025	Moatize Coal Project	Nsimbi Mini

n Alpha Name	Explanation -Remark	Amount	
ing SU LDA	Total Equipment Hire	-R	4,685,703.95
ing SU LDA	Site Establishment	-R	133,980.90
ing SU LDA	Total Equipment Hire	-R	5,905,182.46
ing SU LDA	Total Equipment Hire	-R	7,967,970.17
ing SU LDA	Site Establishment	-R	161,562.44
ing SU LDA	Total Equipment Hire	-R	8,196,652.24
ing SU LDA	Total Euipment Hire	-R	6,029,843.56
ing SU LDA	Total Equipment Hire	-R	4,862,658.22
ing SU LDA	Total Equipment Hire	-R	4,665,168.26
ing SU LDA	Total Equipment Hire	-R	5,144,556.44
ing SU LDA	Total Equipment Hire	-R	4,496,002.73
ing SU LDA	Total Equipment Hire	-R	5,076,213.47
ing SU LDA	Total Equipment Hire	-R	591,256.27
ing SU LDA	Total Equipment Hire	-R	203,457.51
		-R	**58,120,208.62**

Details as per Timesheet			
Month	Timesheet signed?	Amount Payable	
April 2025	Yes	$	249,289.29
N/A - cost is for machine establishment, not for machine operation			
May 2025	Yes	$	317,338.60
June 2025	Yes	$	423,794.82
N/A - cost is for machine establishment, not for machine operation			
July 2025	Yes	$	450,088.83
August 2025	Yes	$	340,158.55
September 2025	Yes	$	282,519.47
October 2025	Yes	$	263,426.19
November 2025	Yes	$	284,816.02
December 2025	Yes	$	239,878.83
January 2025	Yes	$	272,087.58
February 2025	Yes	$	32,169.87
February 2025	Yes	$	11,141.08
		$	**3,166,709.13**

58 120 208,62 3 166 709,13